Partner Reinsurance Company Ltd.

Consolidated Financial Statements and
Independent Auditors' Report

December 31, 2024 and 2023

April 28, 2025

Report of Independent Auditors

To the Board of Directors and Shareholder of Partner Reinsurance Company Ltd.

Opinion

We have audited the accompanying consolidated financial statements of Partner Reinsurance Company Ltd. (the "Company"), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of operations and comprehensive income, of shareholder's equity and of cash flows for the years then ended, including the related notes (collectively referred to as the "consolidated financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the consolidated financial statements* section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of management for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the consolidated financial statements are available to be issued.

Auditors' responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

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Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgement and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgement, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required supplemental information

Accounting principles generally accepted in the United States of America require that the required supplemental information pertaining to *Short-Duration Contracts* disclosures labelled as "Unaudited" within Note 8 on pages 33 to 36 be presented to supplement the basic consolidated financial statements. Such information is the responsibility of management and, although not a part of the basic consolidated financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic consolidated financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplemental information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic consolidated financial statements, and other knowledge we obtained during our audit of the basic consolidated financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

PricewaterhouseCoopers Ltd.

Chartered Professional Accountants

Partner Reinsurance Company Ltd.
Consolidated Balance Sheets
(Expressed in thousands of U.S. dollars, except parenthetical share data)

	December 31, 2024	December 31, 2023
Assets		
Investments:		
Fixed maturities, at fair value (amortized cost: 2024, $6,686,338; 2023, $5,133,395)	**$ 6,064,415**	$ 4,641,933
Short-term investments, at fair value (amortized cost: 2024, $46,166; 2023, $317,014)	**35,347**	306,464
Equities, at fair value (cost: 2024, $371,682; 2023, $479,876)	**918,526**	868,465
Other invested assets	**1,685,008**	1,843,722
Total investments	**8,703,296**	7,660,584
Cash and cash equivalents	**333,565**	335,432
Accrued investment income	**54,445**	34,789
Reinsurance balances receivable (1)	**1,843,530**	1,813,389
Reinsurance recoverable on paid and unpaid losses	**687,288**	781,246
Prepaid reinsurance premiums	**25,481**	13,532
Funds held by reinsured companies (1)	**806,218**	792,795
Deferred acquisition costs (1)	**444,577**	433,852
Market risk benefit assets, at fair value (1)	**85,547**	87,395
Deposit assets	**47,500**	58,990
Intercompany loans and balances receivable (1)	**510,200**	946,072
Net tax assets	**421,901**	432,037
Goodwill	**26,014**	26,014
Intangible assets	**61,005**	63,349
Other assets	**40,005**	48,254
Total assets	**$ 14,090,572**	$ 13,527,730
Liabilities		
Non-life reserves (1)	**$ 5,275,379**	$ 5,242,912
Life and health reserves (1)	**1,831,723**	1,801,728
Market risk benefit liabilities, at fair value (1)	**594**	3,037
Unearned premiums (1)	**999,095**	1,017,464
Other reinsurance balances payable (1)	**239,024**	181,538
Intercompany loans and balances payable (1)	**44,999**	79,399
Accounts payable, accrued expenses and other	**99,541**	128,075
Total liabilities	**8,490,355**	8,454,153
Redeemable noncontrolling interests	**5,876**	—
Shareholder's Equity		
Common shares (par value $1.00; issued: 2024 and 2023, 3,000,000 shares)	**3,000**	3,000
Additional paid-in capital	**1,643,886**	1,643,886
Accumulated other comprehensive loss	**(97,565)**	(23,993)
Retained earnings	**4,045,020**	3,450,684
Total shareholder's equity	**5,594,341**	5,073,577
Total liabilities, redeemable noncontrolling interests and shareholder's equity	**$ 14,090,572**	$ 13,527,730

(1) See Note 18 for additional information regarding related party transactions.

See accompanying Notes to Consolidated Financial Statements.

Partner Reinsurance Company Ltd.
Consolidated Statements of Operations and Comprehensive Income
(Expressed in thousands of U.S. dollars)

	For the year ended	
	December 31, 2024	**December 31, 2023**
Revenues		
Gross premiums written [1]	**$ 4,697,673**	$ 4,379,219
Net premiums written [1]	**$ 4,102,683**	$ 3,854,906
Decrease (increase) in unearned premiums	**6,438**	(36,783)
Net premiums earned [1]	**4,109,121**	3,818,123
Net investment income [1]	**321,523**	280,390
Interest income on intercompany loans	**39,787**	72,281
Net realized and unrealized investment gains	**78,390**	179,064
Other income	**28,353**	24,126
Total revenues	**4,577,174**	4,373,984
Expenses		
Losses and loss expenses (liability remeasurement gain: 2024, $9,407; 2023, $6,468) [1]	**2,617,297**	2,283,428
Market risk benefit gains [1]	**(3,709)**	(4,876)
Acquisition costs [1]	**792,215**	746,651
Other expenses	**41,503**	33,727
Amortization of intangible assets	**2,344**	2,319
Net foreign exchange (gains) losses	**(295,158)**	119,945
Total expenses	**3,154,492**	3,181,194
Income before taxes and interest in losses of equity method investments	**1,422,682**	1,192,790
Income tax (expense) benefit	**(10,264)**	435,171
Interest in losses of equity method investments	**(17,206)**	(8,173)
Net income	**1,395,212**	1,619,788
Net income attributable to redeemable noncontrolling interests	**(876)**	—
Net income attributable to Partner Reinsurance Company Ltd.	**$ 1,394,336**	**$ 1,619,788**
Comprehensive income		
Net income	**$ 1,395,212**	$ 1,619,788
Change in currency translation adjustment	**(72,850)**	18,103
Change in discount rate for liability for future policy benefits, net of tax	**(2,531)**	(35,087)
Change in instrument-specific credit risk for market risk benefits, net of tax	**1,809**	2,985
Comprehensive income	**1,321,640**	1,605,789
Comprehensive income attributable to redeemable noncontrolling interests	**(876)**	—
Comprehensive income attributable to Partner Reinsurance Company Ltd.	**$ 1,320,764**	**$ 1,605,789**

(1) See Note 18 for additional information regarding related party transactions.

See accompanying Notes to Consolidated Financial Statements.

Partner Reinsurance Company Ltd.
Consolidated Statements of Shareholder's Equity
(Expressed in thousands of U.S. dollars)

	For the year ended	
	December 31, 2024	**December 31, 2023**
Common shares		
Balance at beginning and end of year	**$ 3,000**	$ 3,000
Additional paid-in capital		
Balance at beginning and end of year	**$ 1,643,886**	$ 1,643,886
Accumulated other comprehensive loss		
Balance at beginning of year	**$ (23,993)**	$ (9,994)
Currency translation adjustment		
Balance at beginning of year	**$ (42,377)**	$ (60,480)
Change in foreign currency translation adjustment	**(72,850)**	18,103
Balance at end of year	**$ (115,227)**	$ (42,377)
Discount rate for liability for future policy benefit		
Balance at beginning of year	**$ 17,604**	$ 52,691
Change in discount rate for liability for future policy benefits, net of tax	**(2,531)**	(35,087)
Balance at end of year (net of tax: 2024: $(2,660): 2023: $(3,244))	**$ 15,073**	$ 17,604
Instrument-specific credit risk for market risk benefits		
Balance at beginning of year	**$ 780**	$ (2,205)
Change in instrument-specific credit risk for market risk benefits	**1,809**	2,985
Balance at end of year (net of tax: 2024: $(457): 2023: $nil)	**$ 2,589**	$ 780
Balance at end of year	**$ (97,565)**	$ (23,993)
Retained earnings		
Balance at beginning of year	**$ 3,450,684**	$ 2,419,052
Net income	**1,395,212**	1,619,788
Net income attributable to redeemable noncontrolling interests	**(876)**	—
Dividends on common shares	**(800,000)**	(575,000)
Deemed dividends	**—**	(13,156)
Balance at end of year	**$ 4,045,020**	$ 3,450,684
Total shareholder's equity	**$ 5,594,341**	$ 5,073,577

See accompanying Notes to Consolidated Financial Statements.

Partner Reinsurance Company Ltd.
Consolidated Statements of Cash Flows
(Expressed in thousands of U.S. dollars)

	For the year ended	
	December 31, 2024	**December 31, 2023**
Cash flows from operating activities		
Net income attributable to Partner Reinsurance Company Ltd.	**$ 1,394,336**	$ 1,619,788
Adjustments to reconcile net income to net cash provided by operating activities:		
Amortization of intangible assets	**2,344**	2,319
Market risk benefit gains	**(3,709)**	(4,876)
Amortization of net discount on investments	**(27,989)**	(19,995)
Net realized and unrealized investment gains	**(78,390)**	(179,064)
Changes in:		
Reinsurance balances, net	**(88,255)**	(156,513)
Reinsurance recoverable on paid and unpaid losses, net of ceded premiums payable	**157,904**	133,685
Funds held by reinsured companies	**(61,729)**	(84,730)
Deferred acquisition costs	**(31,416)**	(17,612)
Net tax assets and liabilities	**10,264**	(435,171)
Non-life and life and health reserves	**276,133**	(15,049)
Unearned premiums, net of prepaid reinsurance premiums	**(6,438)**	36,783
Other net changes in operating assets and liabilities	**(133,038)**	36,501
Net cash provided by operating activities	**1,410,017**	916,066
Cash flows from investing activities		
Sales, maturities, paydowns and redemptions of fixed maturities	**1,364,878**	1,172,832
Purchases of fixed maturities	**(2,549,442)**	(2,095,405)
Sales, maturities and redemptions of short-term investments	**424,781**	413,985
Purchases of short-term investments	**(136,964)**	(547,981)
Sales of equities	**79,396**	195,970
Purchases of equities	**(5,541)**	(48,374)
Net intercompany balances receivable	**(520,199)**	(71,372)
Sales, maturities, distributions and redemptions of other invested assets	**632,366**	472,544
Purchases of other invested assets	**(310,823)**	(382,379)
Other, net	**12,500**	10,000
Net cash used in investing activities	**(1,009,048)**	**(880,180)**
Cash flows from financing activities [(1)]		
Cash dividends paid to Parent	**(400,000)**	(200,000)
Contributions from noncontrolling interest	**5,000**	—
Net cash used in financing activities	**(395,000)**	(200,000)
Effect of foreign exchange rate changes on cash	**(7,836)**	(1,150)
Decrease in cash and cash equivalents	**(1,867)**	(165,264)
Cash and cash equivalents—beginning of year	**335,432**	500,696
Cash and cash equivalents—end of year	**$ 333,565**	$ 335,432
Supplemental cash flow information:		
Taxes paid	**$ —**	$ —

(1) The Company declared non-cash dividends to its Parent of $400 million for the year ended December 31, 2024. Refer to Note 18(b) and (d) for further details. For the year ended December 31, 2023, the Company declared non-cash dividends to its Parent of $388.2 million. These non-cash dividends resulted in a reduction of intercompany loans and balances receivable.

See accompanying Notes to Consolidated Financial Statements.

1. Organization

Partner Reinsurance Company Ltd. (the Company, or PRCL) is a 100% owned subsidiary of PartnerRe Ltd. (the Parent) and commenced operations in November 1993.

On December 16, 2021, Exor announced that it had signed a definitive agreement with Covéa Coopérations S.A. (Covéa), under which Covéa would acquire the Parent's common shares. Preferred shares issued by Parent were not included in the proposed transaction. Consummation of this transaction occurred on July 12, 2022.

The Company's Parent voluntarily delisted its preferred shares from the New York Stock Exchange (NYSE), effective July 21, 2024, and deregistered them under the U.S. Securities Exchange Act of 1934, effective July 22, 2024. As of July 22, 2024, the preferred shares of the Parent are listed on the Over-the-Counter (OTC) Market. At December 31, 2024, 99.9% of the Parent's total common shares were owned by Covéa.

The Company is licensed as a Class 4 and Class E insurer under the Insurance Act 1978 of Bermuda and related regulations, as amended (the Insurance Act) and is therefore authorized to carry on general and long-term insurance business in Bermuda. Non-life risks reinsured include agriculture, aviation/space, casualty, catastrophe, energy, engineering, financial risks, marine, motor, multiline, and property. Life and health risks reinsured include mortality, morbidity, longevity and financial reinsurance solutions.

The Company also enters into reinsurance contracts with subsidiaries of the Parent. As of December 31, 2024, this includes ongoing quota-share agreements with Partner Reinsurance Europe SE (PartnerRe Europe), Partner Reinsurance Asia Pte. Ltd (PartnerRe Asia), and PartnerRe Life Reinsurance Company of Canada (PartnerRe Canada) and stop loss agreements with PartnerRe Asia, Partner Reinsurance Company of the U.S. Canada Branch, Partner Reinsurance Company of the U.S., and PartnerRe Ireland Insurance dac. Refer to Note 18(a) for further details.

During 2024, the Company voluntarily closed its representative office in Mexico.

2. Significant Accounting Policies

The Company’s Consolidated Financial Statements have been prepared in accordance with accounting principles generally accepted in the United States (U.S. GAAP). The Consolidated Financial Statements include the accounts of the Company and its subsidiaries. Intercompany accounts and transactions have been eliminated. Certain reclassifications have been made to prior period amounts to conform to the current year presentation.

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. While management believes that the amounts included in the Consolidated Financial Statements reflect its best estimates and assumptions, actual results could differ from those estimates. The Company’s principal estimates include:

- Non-life reserves;
- Life and health reserves;
- Reinsurance recoverable for unpaid losses;
- Gross and net premiums written and net premiums earned;
- Valuation and recoverability of deferred tax assets; and
- Fair value measurements of certain financial instrument assets.

The following are the Company’s significant accounting policies:

(a) Premiums

Gross premiums written and earned are based upon reports received from ceding companies, supplemented by the Company’s own estimates of premiums written and earned for which ceding company reports have not been received. The determination of premium estimates requires a review of the Company’s experience with cedants, familiarity with each market, an understanding of the characteristics of each line of business and management’s assessment of the impact of various other factors on the volume of business written and ceded to the Company. Premium estimates are updated as new information is received from cedants and differences between such estimates and actual amounts are recorded in the period in which the estimates are changed or the actual amounts are determined. The magnitude and impact of changes in premium

estimates differs for proportional and non-proportional treaties. Although proportional treaties may be subject to larger changes in premium estimates compared to non-proportional treaties, as the Company generally receives cedant statements in arrears and must estimate all premiums for periods ranging from one month to more than one year (depending on the frequency of cedant statements), the impact is mitigated by changes in the cedant's related reported acquisition costs and losses. The impact of the change in estimate on premiums earned and net income varies depending on when the change becomes known during the risk period and the underlying profitability of the treaty. Non-proportional treaties generally include a fixed minimum premium and an adjustment premium. While the fixed minimum premiums require no estimation, adjustment premiums are estimated and could be subject to changes in estimates. Changes in premium estimates can be material to net premiums earned in the period to which they are determined as the adjustments may be substantially or fully earned.

Premiums related to non-life business are earned on a basis that is consistent with the risks covered under the terms of the reinsurance contracts, which is generally one to two years. Reinstatement premiums are recognized as written and earned at the time a loss event occurs, where coverage limits for the remaining life of the contract are reinstated under pre-defined contract terms. The accrual of reinstatement premiums is based on management's estimate of losses and loss expenses associated with the loss event. Unearned premiums represent the portion of premiums written which is applicable to the unexpired risks under contracts in force.

Premiums related to traditional and limited payment long-duration contracts are recorded over the premium-paying period on the underlying policies. Premiums on contracts for which there is no significant mortality or critical illness risk are accounted for in a manner consistent with accounting for interest-bearing financial instruments and are not reported as revenues, but rather as direct deposits to the contract. Amounts assessed against reinsured annuity and universal life risks are recognized as revenue in the period assessed. Premiums related to life and health short-duration business are earned on a basis that is consistent with the risks covered under the terms of the reinsurance contracts, which is generally one to two years.

(b) Losses and Loss Expenses

Non-life reserves

Reserves for non-life business include amounts determined from loss reports on individual treaties (case reserves), additional case reserves when the Company's loss estimate is higher than reported by the cedants (ACRs) and amounts for losses incurred but not yet reported to the Company (IBNR). Such reserves are estimated by management based upon reports received from ceding companies, supplemented by the Company's own actuarial estimates of reserves for which ceding company reports have not been received, and based on the Company's own historical experience. To the extent that the Company's own historical experience is inadequate for estimating reserves, such estimates may be determined based upon industry experience and management's judgment. The estimates are regularly reviewed and the ultimate liability may be materially in excess of, or less than, the amounts provided. Any adjustments are reflected in the periods in which they are determined, which may affect the Company's operating results in future periods. See Note 8 for further details.

Life and health reserves

Traditional and limited payment long-duration contracts

For traditional and limited payment long-duration contracts, which includes long-term protection and longevity business, the Company accrues a liability for future policy benefits (LFPB) over time as revenue is recognized based on a net premium ratio. The net premium ratio is the proportion of present value of gross premiums required to provide for all benefits and certain expenses. The LFPB uses the Company's current best estimate assumption of future cash flows discounted at a rate that approximates a single A rated corporate bond yield. Contracts are generally grouped into cohorts by product type, issue year, geographical region, currency, and other factors.

Each quarter, the Company reviews its estimate of cash flows expected over the entire life of a group of contracts using actual historical experience and current future best estimate assumptions, and if the cash flows change, the LFPB is updated using a net premium ratio. The revised net premium ratio is calculated as of contract inception. This revised net premium ratio will derive a remeasurement gain or loss that is presented as a component of Losses and loss expenses within the Consolidated Statements of Operations. If the net premium ratio exceeds 100% for a given cohort, a corresponding adjustment is recognized immediately in net income. The calculated LFPB cannot be less than zero for a given cohort.

The net premium ratio is not updated for changes in discount rate assumptions, as the impact of changes in quarterly discount rates are recorded in Comprehensive income or loss. The current discount rate assumption for all contracts is derived

from a yield curve based on upper-medium grade fixed income securities (single A rated credit). For unobservable discount rates, the Company uses estimates consistent with fair value guidance, maximizing the use of relevant, observable market prices and minimizing the use of unobservable inputs. The locked-in discount rate assumption is utilized for purposes of interest accretion recognized in Losses and loss expenses within the Consolidated Statements of Operations and for updating the net premium ratio. The locked-in discount rate assumption is based on the weighted average upper-medium grade fixed income yields during the first calendar year of the contract.

The most significant cash flow assumptions used are mortality, morbidity and persistency. The Company has elected to lock-in claims expense assumptions at contract inception and those assumptions are not subsequently reviewed or updated. See Note 9 for further information of the effects of changes in assumptions on the remeasurement of the LFPB.

Other long-duration contracts

Reserves for other long-duration contracts primarily include interest-sensitive life and investment-type contract liabilities, which are carried at the accumulated contract holder values.

Life and health short-duration contracts

Reserves for life and health short-duration contracts have been established based upon information reported by ceding companies, supplemented by the Company's actuarial estimates, which include mortality, morbidity, critical illness, and persistency with appropriate provision to reflect uncertainty.

See Note 9 for further details.

(c) Market Risk Benefits

Market risk benefits (MRBs) are contracts or contract features that both provide protection to the contract holder from other-than-nominal capital market risk and expose the Company to other-than-nominal capital market risk. MRBs include certain contract features that provide minimum guarantees to policyholders, such as guaranteed minimum death benefits (GMDB). MRBs can be in either an asset or a liability position, and are presented separately on the Consolidated Balance Sheets as the criteria for right of offset is not met. MRBs are measured at fair value using an option-based valuation model based on current net amounts at risk, market data, Company experience, and other factors. Consistent with a fair value income approach, all contractual cash flows specified within the GMDB treaties and expense cash flows that are consistent with the expected expense levels, are projected on a prospective basis. Risk neutral scenarios are used to project and discount cash flows. Changes in fair value related to MRBs are recognized as Market risk benefit gains (losses) except for the portion of the change in fair value due to a change in the instrument-specific credit risk, which is recognized in Other comprehensive income or loss, both within the Consolidated Statements of Operations and Comprehensive Income (Loss). MRBs are derecognized in the financial statements upon contract termination. At that point, the Company records any amounts (i.e. instrument-specific credit risk changes in MRBs) previously recorded in OCI into net income. See Note 10 for further details.

(d) Deferred Acquisition Costs

Deferred acquisition costs are comprised of primarily incremental brokerage fees, commissions and excise taxes, which vary directly with, and are related to, the successful acquisition of reinsurance contracts. All other acquisition related costs, including indirect costs, are expensed as incurred. Acquisition costs are shown net of commissions earned on ceded reinsurance.

Deferred acquisitions costs related to non-life contracts are amortized as the related premium is earned. The Company establishes a premium deficiency reserve to the extent the deferred acquisition costs are insufficient to cover the excess of expected losses and loss expenses, settlement costs and deferred acquisition costs over the related unearned premiums. Actual and anticipated losses and loss expenses, other costs, and investment income related to underlying premiums are considered in determining the recoverability of these deferred acquisition costs.

Deferred acquisition costs related to traditional and limited payment long-duration contracts are amortized over the expected term of the underlying contracts, on a constant level basis, at the cohort level. Acquisition costs related to unexpected contract terminations are written off. Assumptions used to amortize these acquisition costs are consistent with the related liability for future policy benefits. These acquisition costs are not evaluated for recoverability and are not subject to impairment testing.

Amortization of deferred acquisition costs is included in Acquisition costs within the Consolidated Statements of Operations.

(e) Reinsurance

The Company purchases retrocessional contracts to reduce its exposure to risk of losses on reinsurance assumed. Ceded premiums, which represent the cost of retrocessional protection purchased by the Company, are expensed over the coverage period. Prepaid reinsurance premiums represent the portion of premiums ceded applicable to the unexpired term of policies in force.

Reinsurance recoverable on paid and unpaid losses involves actuarial estimates consistent with those used to establish the associated liabilities for non-life and life and health reserves and are recorded net of a valuation allowance for estimated uncollectible recoveries.

Retroactive reinsurance reimburses a ceding company for liabilities incurred as a result of past insurable events covered under contracts subject to the reinsurance. Premiums payable for retroactive reinsurance coverage meeting the conditions of reinsurance accounting are reported as reinsurance recoverables. To the extent that recorded liabilities on an underlying reinsurance contract exceed premiums payable for retroactive coverage, a deferred gain is recognized in Accounts payable, accrued expenses and other on the Company's Consolidated Balance Sheets and amortized over the estimated remaining settlement period of the underlying contract. Any such amortization is included in Losses and loss expenses in the Consolidated Statements of Operations.

(f) Funds Held by Reinsured Companies

The Company writes certain business on a funds held basis. Under such contractual arrangements, the cedant retains the premiums that would have otherwise been paid to the Company and the Company is credited with investment income on these funds. The Company generally earns investment income on the funds held balances based upon a predetermined interest rate, either fixed contractually at the inception of the contract or based upon a recognized index (e.g. SOFR). However, in certain circumstances, the Company may receive an investment return based upon either the result of a pool of assets held by the cedant, generally used to collateralize the funds held balance, or the investment return earned by the cedant on its entire investment portfolio. In these arrangements, investment returns are typically reflected in Net investment income in the Company’s Consolidated Statements of Operations. In these arrangements, the Company is exposed, to a limited extent, to the underlying credit risk of the pool of assets inasmuch as the underlying policies may have guaranteed minimum returns. In such cases, an embedded derivative exists and its fair value is recorded by the Company as an increase or decrease to the funds held balance.

(g) Deposit Assets

In the normal course of its operations, the Company writes certain contracts that do not meet the risk transfer provisions of U.S. GAAP. The Company's deposit assets relate to receivables included as an element of certain life reinsurance agreements that do not meet risk transfer.

(h) Investments

The Company elects the fair value option for Fixed maturities, Short-term investments and Equities with changes in fair value recorded in Net realized and unrealized investment gains or losses in the Consolidated Statements of Operations. Short-term investments comprise securities with a maturity greater than three months but less than one year from the date of purchase.

The Company recognizes Other invested assets at fair value, except for those that are accounted for using the equity method of accounting. Other invested assets consist of equity investments in non-publicly traded companies such as limited liability companies and limited partnerships (or similar structures); privately placed corporate loans; and derivative financial instruments. Non-publicly traded entities in which the Company has significant influence, including an ownership of more than 20% and less than 50% of the voting rights, and limited partnerships (or similar structures) in which the Company has more than a minor interest (typically more than 3% to 5%), are accounted for using either the equity method or the fair value option. Where the equity method is used, the Company's share of profits or losses of the investee are recorded in Interest in earnings or losses of equity method investments in the Consolidated Statements of Operations. The Company has not elected the fair value option for these equity method investees as the carrying values already approximate fair value. Where the fair value option is elected, the investment is recognized in the Consolidated Balance Sheets at fair value with changes in fair value recorded in Net realized and unrealized investment gains or losses in the Consolidated Statements of Operations. Refer to Note 2(n) below for significant accounting policy for derivatives.

The Company defines fair value as the price received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The Company measures the fair value of financial instruments according to a fair value hierarchy that prioritizes the information used to measure fair value into three broad levels. The Company's policy is to recognize transfers between the hierarchy levels at the beginning of the period. Refer to Note 3 for the valuation techniques used by the Company.

The Company invests in various funds where the net asset value (NAV) is used as a basis for determining fair value. The Company applies the practical expedient relating to investments in certain entities that calculate NAV per share (or its equivalent) and therefore measure the fair value of these fund investments based on that NAV per share, or its equivalent. Refer to Note 3 for the valuation methods and assumptions used by the Company.

Net investment income includes interest and dividend income, amortization of premiums and discounts on fixed maturities and short-term investments, and is net of investment expenses and withholding taxes. Investment income is recognized when earned and accrued to the balance sheet date. Realized gains or losses on the disposal of investments are determined on a first-in, first-out basis. Investment purchases and sales are recorded on a trade-date basis.

(i) Cash and Cash Equivalents

Cash equivalents are carried at fair value and include fixed income securities that, from the date of purchase, have a maturity of three months or less.

(j) Goodwill

Goodwill represents the excess of the purchase price over the fair value of net assets acquired in a historical acquisition by PartnerRe Europe, which was re-allocated from PartnerRe Europe to the Company during 2012. The Company assesses the appropriateness of its valuation of goodwill on an annual basis (as of December 31) or more frequently if events or changes in circumstances indicate that the carrying amount may not be recoverable. If, as a result of the assessment, the Company determines that the value of its goodwill is impaired, goodwill will be written down in the period in which the determination is made.

(k) Intangible Assets

Intangible assets represent the fair value adjustments related to value of life business acquired (life VOBA). This intangible asset is being amortized over its expected life of 100 years and the amortization expense is recorded in the Consolidated Statement of Operations. Refer to Note 6.

(l) Income Taxes

Certain subsidiaries of the Company operate in jurisdictions where they are subject to taxation. Current and deferred income taxes are charged or credited to Net income or loss or, in certain cases, to Accumulated other comprehensive income or loss, based upon enacted tax laws and rates applicable in the relevant jurisdiction in the period in which the tax becomes accruable or realizable. Deferred income taxes are provided for all temporary differences between the bases of assets and liabilities used in the Consolidated Balance Sheets and those used in the various jurisdictional tax returns.

In measuring if deferred income taxes are realizable, all available evidence is considered to determine whether, based on the weight of that evidence, a valuation allowance is needed for some portion or all of a deferred tax asset. The Company has projected future taxable income in the tax jurisdictions in which the deferred tax assets arise based on management's projections of premium and investment income, capital gains and losses, and technical and expense ratios. Based on these projections and an analysis of the ability to utilize loss and foreign tax credits carryforwards at the taxable entity level, management evaluates the need for a valuation allowance. When management's assessment indicates that it is more likely than not that deferred tax assets will not be realized, a valuation allowance is recorded against the deferred tax assets. Where appropriate, the valuation allowance assessment considers tax planning strategies.

The Company has assumed that the future reversal of deferred tax liabilities will result in an increase in taxes payable in future years. Underlying this assumption is an expectation that the Company will continue to be subject to taxation in the various tax jurisdictions and that the Company will continue to generate taxable revenues in excess of deductions.

The Company recognizes a tax benefit relating to uncertain tax positions only where the position is more likely than not to be sustained assuming examination by tax authorities. A liability is recognized for any tax benefit (along with any interest and penalty, if applicable) claimed in a tax return in excess of the amount recognized in the financial statements under U.S. GAAP. Any changes in amounts recognized are recorded in the period in which they are determined.

The Company complies with all applicable local tax legislation and regulations. In the event that there is a change in current tax law, the impact of such change is recorded in Income tax expense or benefit within the Consolidated Statements of Operations in the period of enactment. Such impact would include any impact of the Company's reassessment of the recoverability of the deferred tax asset.

(m) Foreign Exchange

In recording foreign currency transactions, revenue and expense items in a currency other than the functional currency are converted into the functional currency at the average rates of exchange for the period. Monetary assets and liabilities originating in currencies other than the functional currency are remeasured into the functional currency at the rates of exchange in effect at the balance sheet dates. The resulting foreign exchange transaction gains or losses are included in Net foreign exchange gains or losses in the Consolidated Statements of Operations. Non-monetary assets and liabilities denominated in foreign currency are not subsequently remeasured.

The reporting currency of the Company is the U.S. dollar. The national currencies of the Company’s subsidiaries are generally their functional currencies. In translating the financial statements of those subsidiaries whose functional currency is other than the U.S. dollar, assets and liabilities are converted into U.S. dollars using the rates of exchange in effect at the balance sheet dates, and revenues and expenses are converted using the average foreign exchange rates for the period. The effect of translation adjustments are reported in the Consolidated Balance Sheets as Currency translation adjustment, a separate component of Accumulated other comprehensive income or loss. The change in currency translation adjustment is reflected in Other comprehensive income or loss.

(n) Derivatives

The Company’s investment strategy allows for the use of certain derivative instruments, subject to strict limitations. The Company may use derivative financial instruments such as foreign exchange forward contracts, foreign currency option contracts, futures contracts, to-be-announced mortgage-backed securities (TBAs), total return swaps, interest rate swaps, insurance-linked securities, and credit default swaps for the purpose of managing overall currency risk, market exposures and portfolio duration, for hedging certain investments, or for enhancing investment performance that would be allowed under the Company’s investment policy if implemented in other ways.

On the date the Company enters into a derivative contract, management determines whether or not the derivative is to be used and designated as a hedge of an identified underlying risk exposure (a designated hedge). The Company’s derivative instruments are recorded in Other invested assets in the Consolidated Balance Sheets at fair value, with gains and losses associated with changes in fair value recognized in either Net realized and unrealized investment gains or losses or Net foreign exchange gains or losses in the Consolidated Statements of Operations, or in Other comprehensive income or loss, depending on the nature and designation of the derivative instrument. Refer to Note 5.

The Company formally documents all relationships between designated hedging instruments and hedged items, as well as its risk management objectives and strategy for undertaking various hedge transactions. In this documentation, the Company specifically identifies the asset or liability that has been designated as a hedged item and states how the hedging instrument is expected to hedge the risks related to the hedged item. The Company formally measures effectiveness of its designated hedging relationships both at the hedge inception and on an ongoing basis.

The Company will discontinue hedge accounting prospectively if it is determined that the derivative is no longer effective in hedging the exposure to variability in expected future cash flows that is attributable to the risk it was meant to hedge; if the derivative instrument expires, is sold, or is otherwise terminated; or if the Company removes the designation of the hedge. To the extent that the Company discontinues hedge accounting because, based on management’s assessment, the derivative no longer qualifies as an effective hedge, or the Company otherwise de-designates the hedge, the derivative will continue to be carried in the Consolidated Balance Sheet at its fair value, with changes in its fair value recognized in in the Consolidated Statements of Operations, or in Other comprehensive income or loss, depending on the type of derivative held.

(o) Variable Interest Entities

The Company is involved in the normal course of business with variable interest entities (VIEs). An assessment is performed as of the date the Company becomes initially involved in the VIE followed by a reassessment upon certain events related to its involvement in the VIE. The Company consolidates a VIE when it is the primary beneficiary having a controlling financial interest as a result of having the power to direct the activities that most significantly impact the economic performance of the VIE and the obligation to absorb losses, or right to receive benefits, that could potentially be significant to the VIE.

(p) Recent Accounting Pronouncements

Recently adopted

Targeted Improvements to the Accounting for Long-duration Contracts

In August 2018, the Financial Accounting Standards Board's (the "FASB") issued an accounting standard update with the objective of making targeted improvements to the existing recognition, measurement, presentation and disclosure requirements for long-duration contracts issued by an insurance entity. The Company adopted FASB targeted improvements to the accounting for long-duration contracts (LDTI) on January 1, 2023 using the modified retrospective method for all topics except for market risk benefits, which was adopted using the full retrospective method, with a transition date of January 1, 2021 (Transition Date). The updated guidance has changed how the Company accounts for its long-duration insurance contracts.

Reference Rate Reform

In March 2020, the FASB issued guidance which provides optional expedients and exceptions for applying U.S. GAAP to modification of contracts, hedging relationships and other transactions that reference the London Interbank Offered Rate (LIBOR) or another reference rate expected to be discontinued because of reference rate reform. Along with the optional expedients, the amendments include a general principle that permits an entity to consider contract modifications due to reference reform to be an event that does not require contract re-measurement at the modification date or reassessment of a previous accounting determination. In 2022, the sunset date of this guidance was deferred to December 31, 2024, with guidance permitted to be elected over time as reference rate reform activities occur. The Company adopted the guidance effective January 1, 2024. The adoption did not have a material impact on the Company's Consolidated Financial Statements.

Fair Value Measurement

In June 2022, the FASB issued updated guidance to address diversity in practice by clarifying that a contractual sale restriction should not be considered in the measurement of the fair value of an equity security. It also requires entities with investments in equity securities subject to contractual sale restrictions to disclose certain qualitative and quantitative information about such securities. The guidance is effective for fiscal years beginning after December 15, 2023, and the Company adopted the guidance effective January 1, 2024. The adoption did not have a material impact on the Company's Consolidated Financial Statements.

Not yet adopted

Income Tax Disclosures

In December 2023, the FASB issued guidance to improve income tax disclosures. The standard requires disaggregated information about a company's effective tax rate reconciliation as well as information on income taxes paid. For non-public business entities, the guidance is effective for fiscal years beginning after December 15, 2025, with the option to apply the standard retrospectively, and early adoption permitted. The Company is currently evaluating the impact of adopting this guidance on its Consolidated Financial Statement disclosures.

3. Fair Value

(a) Assets and Liabilities Measured at Fair Value

The fair value hierarchy prioritizes the inputs to valuation techniques used to measure fair value by maximizing the use of observable inputs and minimizing the use of unobservable inputs by requiring that the most observable inputs be used when available. Observable inputs are inputs that market participants would use in pricing an asset or liability based on market data obtained from sources independent of the Company. Unobservable inputs are inputs that reflect the Company's assumptions about what market participants would use in pricing the asset or liability based on the best information available in the circumstances. The level in the hierarchy within which a given fair value measurement falls is determined based on the lowest level input that is significant to the measurement.

The Company determines the appropriate level in the hierarchy for each asset and liability that it measures at fair value. In determining fair value, the Company uses various valuation approaches, including market, income and cost approaches. The hierarchy is broken down into three levels based on the observability of inputs as follows:

- Level 1 inputs—Unadjusted, quoted prices in active markets for identical assets or liabilities that the Company has the ability to access.

  The Company's assets and liabilities that it measures at fair value using Level 1 inputs generally include equities listed on a major exchange.

- Level 2 inputs—Quoted prices in active markets for similar assets or liabilities, quoted prices for identical or similar assets or liabilities in inactive markets and significant directly or indirectly observable inputs, other than quoted prices, used in industry accepted models.

  The Company's assets and liabilities that it measures at fair value using Level 2 inputs generally include: U.S. government issued bonds; U.S. government sponsored enterprises bonds; certain U.S. state, territory and municipal entities bonds; non-U.S. sovereign government, supranational and government related bonds; investment grade and high yield corporate bonds; mortgage-backed securities; short-term investments; certain preferred equities; certain privately placed corporate loans; and certain derivative assets and liabilities

- Level 3 inputs—Unobservable inputs.

  The Company's assets and liabilities that it measures at fair value using Level 3 inputs generally include: inactively traded fixed maturities including special purpose financing asset-backed bonds; unlisted equity securities; certain privately placed corporate loans, notes and loans receivable and notes securitizations; certain real estate company investments included in Other invested assets; certain fund investments and certain other derivatives, including weather derivatives; and longevity insurance-linked securities included in Other invested assets; and market risk benefit assets and liabilities.

At December 31, 2024 and 2023, the Company's assets and liabilities measured at fair value were classified between Levels 1, 2 and 3 as follows (in thousands of U.S. dollars):

December 31, 2024	Quoted prices in active markets for identical assets (Level 1)	Significant other observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Fair value based on NAV as practical expedient	Total
Assets (liabilities)					
Fixed maturities					
U.S. government and government sponsored enterprises	$ —	$ 417,673	$ —	$ —	$ 417,673
U.S. states, territories and municipalities	—	419	—	—	419
Non-U.S. sovereign government, supranational and government related	—	1,059,334	—	—	1,059,334
Corporate bonds	—	2,687,387	—	—	2,687,387
Asset-backed securities	—	—	14,032	—	14,032
Residential mortgage-backed securities	—	1,885,570	—	—	1,885,570
Fixed maturities	$ —	$6,050,383	$ 14,032	$ —	$6,064,415
Short-term investments	$ —	$ 35,347	$ —	$ —	$ 35,347
Equities					
Real estate	$ 16,694	$ —	$ —	$ —	$ 16,694
Diversified	—	—	4,330	—	4,330
Consumer non-cyclical	—	—	1,907	—	1,907
Consumer cyclical	—	—	18	—	18
Industrials	—	—	95	—	95
Insurance	—	147	—	—	147
Fund investments	—	—	—	895,335	895,335
Equities	$ 16,694	$ 147	$ 6,350	$ 895,335	$ 918,526
Other invested assets					
Derivative assets					
Foreign exchange forward contracts	$ —	$ 23,322	$ —	$ —	$ 23,322
Insurance-linked securities	—	—	7,244	—	7,244
Other					
Corporate loans [1]	—	432,671	9,549	—	442,220
Real estate company investment	—	—	457,209	—	457,209
Fund investments	—	—	50,957	661,972	712,929
Derivative liabilities					
Foreign exchange forward contracts	—	(5,624)	—	—	(5,624)
Other invested assets	$ —	$ 450,369	$ 524,959	$ 661,972	$1,637,300
Total investments measured at fair value	$ 16,694	$6,536,246	$ 545,341	$1,557,307	$8,655,588
Market risk benefits, net [2]	$ —	$ —	$ 84,953	$ —	84,953
Net assets measured at fair value	$ 16,694	$6,536,246	$ 630,294	$1,557,307	$8,740,541

(1) Corporate loans include a portfolio of third-party, individually managed privately issued corporate loans that are managed under an externally managed mandate with a fair value of $432.7 million and $523.9 million at December 31, 2024 and 2023, respectively. The mandate primarily invests in U.S. floating rate, first lien, senior secured broadly syndicated loans with a focus on facility sizes greater than $300 million. Corporate loans also include $9.5 million and $66.3 million of other privately issued corporate loans at December 31, 2024 and 2023, respectively.

(2) Refer to Note 10 for details on the changes in the MRBs measured at fair value for the years ended December 31, 2024 and 2023.

December 31, 2023	Quoted prices in active markets for identical assets (Level 1)	Significant other observable inputs (Level 2)	Significant unobservable inputs (Level 3)	Fair value based on NAV as practical expedient	Total
Assets (liabilities)					
Fixed maturities					
U.S. government and government sponsored enterprises	$ —	$ 475,809	$ —	$ —	$ 475,809
U.S. states, territories and municipalities	—	591	—	—	591
Non-U.S. sovereign government, supranational and government related	—	558,491	—	—	558,491
Corporate bonds	—	1,692,884	—	—	1,692,884
Asset-backed securities	—	—	15,022	—	15,022
Residential mortgage-backed securities	—	1,899,136	—	—	1,899,136
Fixed maturities	$ —	$4,626,911	$ 15,022	$ —	$4,641,933
Short-term investments	$ —	$ 306,464	$ —	$ —	$ 306,464
Equities					
Real estate	$ 13,735	$ —	$ —	$ —	$ 13,735
Consumer non-cyclical	652	—	8,574	—	9,226
Diversified	—	—	4,759	—	4,759
Consumer cyclical	—	—	28	—	28
Energy	—	—	1,698	—	1,698
Industrials	4	—	6	—	10
Insurance	—	140	—	—	140
Fund investments	—	—	—	838,869	838,869
Equities	$ 14,391	$ 140	$ 15,065	$ 838,869	$ 868,465
Other invested assets					
Derivative assets					
Foreign exchange forward contracts	$ —	$ 6,056	$ —	$ —	$ 6,056
Insurance-linked securities	—	—	7,235	—	7,235
Other					
Corporate loans [1]	—	523,981	66,371	—	590,352
Real estate company investment	—	—	471,156	—	471,156
Fund investments	—	—	38,669	685,132	723,801
Derivative liabilities					
Foreign exchange forward contracts	—	(24,422)	—	—	(24,422)
Other invested assets	$ —	$ 505,615	$ 583,431	$ 685,132	$1,774,178
Total investments measured at fair value	$ 14,391	$5,439,130	$ 613,518	$1,524,001	$7,591,040
Market risk benefits, net [2]	$ —	$ —	$ 84,358	$ —	$ 84,358
Net assets measured at fair value	$ 14,391	$5,439,130	$ 697,876	$1,524,001	$7,675,398

Other invested assets included in the fair value tables above at December 31, 2024 and 2023, exclude investments that are accounted for using the equity method of accounting of of $47.7 million and $69.5 million, respectively (see Note 4(f) for further details).

At December 31, 2024 and 2023, the carrying value of accrued investment income approximated fair value due to its short-term nature.

At December 31, 2024 and 2023, the fair values of financial instrument assets recorded in the Consolidated Balance Sheets not described above approximated their carrying values.

The reconciliations of the beginning and ending balances for investments measured at fair value using Level 3 inputs for the years ended December 31, 2024 and 2023, were as follows (in thousands of U.S. dollars):

For the year ended December 31, 2024	Balance at beginning of year	(Losses) gains included in net income	Purchases	Settlements and sales [1]	Net transfers into (out of) Level 3	Balance at end of year
Fixed maturities						
Asset-backed securities	$ 15,022	$ —	$ —	$ (990)	$ —	$ 14,032
Fixed maturities	$ 15,022	$ —	$ —	$ (990)	$ —	$ 14,032
Equities						
Consumer non-cyclical	$ 8,574	$ (6,917)	$ 250	$ —	$ —	$ 1,907
Diversified	4,759	(429)	—	—	—	4,330
Consumer cyclical	28	(10)	—	—	—	18
Energy	1,698	312	—	(2,010)	—	—
Industrials	6	(265)	354	—	—	95
Equities	$ 15,065	$ (7,309)	$ 604	$ (2,010)	$ —	$ 6,350
Other invested assets						
Derivatives, net	$ 7,235	$ 95	$ —	$ (86)	$ —	$ 7,244
Corporate loans	66,371	(3,642)	9,900	(63,080)	—	9,549
Real estate company investment	471,156	(13,947)	—	—	—	457,209
Fund investments	38,669	8,920	3,368	—	—	50,957
Other invested assets	$ 583,431	$ (8,574)	$ 13,268	$ (63,166)	$ —	$ 524,959
Total	$ 613,518	$ (15,883)	$ 13,872	$ (66,166)	$ —	$ 545,341

(1) Settlements and sales of Fixed maturities, Equities and Other invested assets include sales of $nil, $2.0 million, and $63.2 million, respectively. Sales of Other invested assets of $63.2 million included sales of corporate loans of $63.1 million and derivatives of $0.1 million.

For the year ended December 31, 2023	Balance at beginning of year	(Losses) gains included in net income	Purchases	Settlements and sales [1]	Net transfers into (out of) Level 3	Balance at end of year
Fixed maturities						
Asset-backed securities	$ 15,930	$ —	$ —	$ (908)	$ —	$ 15,022
Fixed maturities	$ 15,930	$ —	$ —	$ (908)	$ —	$ 15,022
Equities						
Consumer non-cyclical	$ 10,081	$ (1,507)	$ —	$ —	$ —	$ 8,574
Diversified	4,439	322	—	(2)	—	4,759
Consumer cyclical	28	—	—	—	—	28
Energy	1,514	184	—	—	—	1,698
Industrials	51	(32)	—	(13)	—	6
Equities	$ 16,113	$ (1,033)	$ —	$ (15)	$ —	$ 15,065
Other invested assets						
Derivatives, net	$ 6,657	$ 577	$ —	$ 1	$ —	$ 7,235
Corporate loans	96,418	2,695	40	(343)	(32,439)	66,371
Notes and loan receivables and notes securitization	1,252	35	—	(1,287)	—	—
Real estate company investment	491,602	(20,446)	—	—	—	471,156
Fund investments	30,266	8,403	—	—	—	38,669
Other invested assets	$ 626,195	$ (8,736)	$ 40	$ (1,629)	$ (32,439)	$ 583,431
Total	$ 658,238	$ (9,769)	$ 40	$ (2,552)	$ (32,439)	$ 613,518

(1) *Settlements and sales of Fixed maturities, Equities and Other invested assets include sales of $nil, $nil, and $1.5 million, respectively. Sales of Other invested assets of $1.5 million included sales of corporate loans of $0.2 million, notes and loan receivables and notes securitization of $1.3 million.*

There were no transfers to and from Level 3 during the year ended December 31, 2024. During the year ended December 31, 2023, there were $32.4 million transferred out from corporate loans Level 3 to Level 2 due to the availability of quoted prices for similar securities in active markets.

The significant unobservable inputs used in the valuation of financial instruments measured at fair value using Level 3 inputs at December 31, 2024 and 2023 were as follows (fair value in thousands of U.S. dollars):

December 31, 2024	Fair value	Valuation techniques	Unobservable inputs	Range (Weighted average [1])
Other invested assets				
Insurance-linked securities - longevity swaps	$ 7,244	Discounted cash flow	Credit spreads	5.6% (5.6%)
Real estate company investment	457,209	Income capitalization	Estimated rental value (per sq ft)	$97 – $103 ($101)
			Net initial yield	4.2% – 5.3% (4.8%)
			Reversionary yield	5.1% – 6.6% (5.8%)
		Comparable method	Sale value (per sq ft)	$3,191 – $5,863 ($5,520)
Market risk benefits, net	84,953	Option pricing techniques	Mortality rates	0.02% – 100.0% (0.5%)
			Lapse rates	1.8% – 36.7% (5.8%)
			Equity implied long-term volatility	17.8% – 26.6% (20.6%)
			Swaption implied long-term volatility	62.1% – 77.8% (71.1%)

December 31, 2023	Fair value	Valuation techniques	Unobservable inputs	Range (Weighted average [1])
Other invested assets				
Insurance-linked securities - longevity swaps	$ 7,235	Discounted cash flow	Credit spreads	6.0% (6.0%)
Real estate company investment	471,156	Income capitalization	Estimated rental value (per sq ft)	$96 – $102 ($100)
			Net initial yield	3.6% – 5.4% (4.8%)
			Reversionary yield	5.0% – 6.4% (5.7%)
		Comparable method	Sale value (per sq ft)	$3,072 – $5,848 ($5,171)
Market risk benefits, net	84,358	Option pricing techniques	Mortality rates	0.02% – 100.0% (0.5%)
			Lapse rates	3.1% – 25.0% (5.0%)
			Equity implied long-term volatility	18.9% – 28.7% (22.5%)
			Swaption implied long-term volatility	54.6% – 77.7% (76.5%)

(1) *Unobservable inputs were weighted by the relative fair value of the instruments.*

The tables above do not include financial instruments that are measured using unobservable inputs (Level 3) where the unobservable inputs were obtained from external sources and used without adjustment. These financial instruments include asset-backed securities (included within Fixed maturities), equities (included within Equities), certain fund investments (included within Other invested assets), and certain privately placed corporate loans (included within Other invested assets).

Changes in the fair value of the Company's assets and liabilities subject to the fair value option during the years ended December 31, 2024, and 2023 were as follows (in thousands of U.S. dollars):

	2024	2023
Fixed maturities and short-term investments	**$ (66,426)**	$ 85,846
Equities	**130,284**	81,989
Other invested assets	**(27,058)**	(84,094)
Total included in net unrealized and unrealized investment gains	**$ 36,800**	$ 83,741

The change in the fair value of Other invested assets subject to the fair value option does not include certain derivatives.

The following methods and assumptions were used by the Company in estimating the fair value of each class of assets and liabilities recorded in the Consolidated Balance Sheets. There have been no material changes in the Company's valuation techniques during the periods presented.

Fixed maturities

- *U.S. government and government sponsored enterprises*—consists primarily of bonds issued by the U.S. Treasury and debt securities issued by government sponsored enterprises and federally owned or established corporations. These securities are generally priced by independent pricing services. The independent pricing services may use actual transaction prices for securities that have been actively traded. For securities that have not been actively traded, each pricing source has its own proprietary method to determine the fair value, which may incorporate option adjusted spreads (OAS), interest rate data and market news. The Company generally classifies these securities in Level 2.
- *U.S. states, territories and municipalities*— consists primarily of bonds issued by U.S. states, territories and municipalities. The securities are generally priced by independent pricing services using the techniques described for U.S. government and government sponsored enterprises above. The Company generally classifies these securities in Level 2.
- *Non-U.S. sovereign government, supranational and government related*—consists primarily of bonds issued by non-U.S. national governments and their agencies, non-U.S. regional governments and supranational organizations. These securities are generally priced by independent pricing services using the techniques described for U.S. government and government sponsored enterprises above. The Company generally classifies these securities in Level 2.
- *Corporate*—consists primarily of bonds issued by U.S. and foreign corporations covering a variety of industries and issuing countries. Corporate securities also include real estate investment trusts, catastrophe bonds, longevity and mortality bonds and government guaranteed corporate debt. These securities are generally priced by independent pricing services and brokers. The pricing provider incorporates information including credit spreads, interest rate data and market news into the valuation of each security. The Company generally classifies these securities in Level 2. When a corporate security is inactively traded or the valuation model uses unobservable inputs, the Company classifies the security in Level 3.
- *Asset-backed securities*—consists of special purpose financing securities. Where possible, these asset-backed securities are generally priced by independent pricing services and brokers. The pricing provider applies dealer quotes and other available trade information, prepayment speeds, yield curves and credit spreads to the valuation. The Company generally classifies these securities in Level 2. Special purpose financing securities are generally inactively traded and are priced based on valuation models using unobservable inputs (credit spreads). The Company generally classifies these securities in Level 3. A significant increase (decrease) in credit spreads in isolation could result in a significantly lower (higher) fair value measurement.
- *Residential mortgage-backed securities*—primarily consists of bonds issued by the Government National Mortgage Association, the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation, as well as private, non-agency issuers. These residential mortgage-backed securities are generally priced by independent pricing services and brokers. When current market trades are not available, the pricing provider or the Company will employ proprietary models with observable inputs including other trade information, prepayment speeds, yield curves and credit spreads. The Company generally classifies these securities in Level 2.

In general, the methods employed by the independent pricing services to determine the fair value of the securities that have not been actively traded primarily involve the use of "matrix pricing" in which the independent pricing source applies the credit spread for a comparable security that has traded recently to the current yield curve to determine a reasonable fair value. The Company generally uses one pricing source per security and uses a pricing service ranking to consistently select the most appropriate pricing service in instances where it receives multiple quotes on the same security. When fair values are unavailable from these independent pricing sources, quotes are obtained directly from broker-dealers who are active in the corresponding markets. Most of the Company's fixed maturities are priced from the pricing services or dealer quotes. The Company will typically not make adjustments to prices received from pricing services or dealer quotes; however, in instances where the quoted external price for a security uses significant unobservable inputs, the Company will classify that security as Level 3. The methods used to develop and substantiate the unobservable inputs used are based on the Company's valuation policy and are dependent upon the facts and circumstances surrounding the individual investments which are generally transaction specific. The Company's inactively traded fixed maturities are classified as Level 3. For all fixed maturity investments, the bid price is used for estimating fair value.

Short-term investments

Short-term investments are valued in a manner similar to the Company's fixed maturity investments and are generally classified in Level 2.

Equities

Equity securities include U.S. and foreign common and preferred stocks, real estate investment trusts and certain fund investments. Publicly traded equities are generally classified in Level 1 as the Company uses prices received from independent pricing sources based on quoted prices in active markets. Equities classified as Level 2 are preferred equities. Equities classified as Level 3 are generally inactively traded common stocks. For these investments, the Company utilizes prices from third-party sources without adjustment. Fund investments are valued using net asset valuations as a practical expedient as discussed in further detail below.

Other invested assets

The Company's foreign exchange forward contracts and certain privately placed corporate loans are generally classified as Level 2 within the fair value hierarchy and are priced by independent pricing services.

Included in the Company's Level 3 classification, in general, are certain derivatives, such as weather derivative and insurance-linked securities; certain privately placed corporate loans; notes and loan receivables and note securitizations; certain fund investments; and a real estate company investment. For Level 3 instruments, the Company will generally (i) receive a price based on a manager's or trustee's valuation for the asset; (ii) develop an internal discounted cash flow model to measure fair value; (iii) use market return information, adjusted if necessary and weighted using management's judgment, from comparable selected publicly traded equity funds in a similar region and of a similar size, or (iv) receive the valuation information and techniques used by real estate company investments. Where the Company receives prices from the manager or trustee, these prices are based on the manager's or trustee's estimate of fair value for the assets and are generally audited on an annual basis. Where the Company develops its own discounted cash flow models, the inputs will be specific to the asset in question, based on appropriate historical information, adjusted as necessary, and using appropriate discount rates. When the Company utilizes significant unobservable inputs including market return information, information is weighted using managements' judgement, obtained from comparable selected publicly traded companies in the same industry, in a similar region and of similar size and effective yields. Significant increases (decreases) in these inputs in isolation could result in a significantly higher (lower) fair value measurement for an asset. When the Company uses the valuation information and techniques used by real estate company investments, it independently evaluates the valuation techniques being utilized by the entity to ensure techniques are consistent with U.S. GAAP. Valuation techniques include the income capitalization technique or the comparable method and are based on the properties' highest and best use, with typical market based assumptions, such as estimated rental values, net initial yield, reversionary yield and sales values. A significant increase (decrease) in estimated rental values, reversionary yield and/or sales values could result in a significantly higher (lower) fair value measurement for an asset, while a significant increase (decrease) in net initial yield could result in a significantly lower (higher) fair value measurement for an asset.

Significant unobservable inputs used in the fair value measurement of Other invested assets classified as Level 3 also include credit spreads. Significant increases (decreases) in this input in isolation could result in a significantly lower (higher) fair value measurement.

Fund investments included in Other invested assets are generally valued using net asset valuations as a practical expedient as discussed in further detail below.

As part of the Company's modeling to determine the fair value of an investment, other than for those measured using net asset valuations as a practical expedient, the Company also uses credit risk as an input to models, however, the majority of the Company's counterparties are investment grade rated institutions and the failure of any one counterparty would not have a significant impact on the Company's Consolidated Financial Statements.

Market risk benefit assets and liabilities

MRBs are classified as Level 3 fair value measurements as the fair value is measured using an option-based valuation model based on certain unobservable inputs. The most significant unobservable inputs underlying the valuation of MRBs includes long-term implied volatility, mortality rates and lapse rates.

Unobservable inputs for mortality rates are base mortality and mortality improvements assumptions. Base mortality assumptions differ by treaty and are derived from experience. Improvement mortality assumptions are based on the CMI Mortality Projections Model, which is a publicly available tool from the UK Institute and Faculty of Actuaries. The net MRB asset increases as base mortality decreases and improvement mortality increases.

Unobservable inputs for lapse rates refer to the assumptions reflecting the ability of the policyholders to actively manage their savings by withdrawing deposits on an in-force contract, either fully or partially. These assumptions are defined at treaty, age and policy duration level. These rates are derived from treaty experience of the policyholders' behaviors and updated on an annual basis. Increases in lapse rates will have a volume effect on the net MRB reserve, generally reducing the net asset (increasing the net liability).

Unobservable inputs for equity long-term implied volatilities refer to the value towards which the equity implied volatilities converge beyond the last liquid point. An increase in long-term equity implied volatility means higher long-term projected equity risk and a higher probability of triggering the guaranteed minimum death benefit. This will generally lead to a decrease of the net MRB asset.

Unobservable inputs for swaption long-term implied volatilities refer to the value towards which the swaption implied volatilities converge beyond the last liquid point. An increase in long-term swaption implied volatility means higher long-term projected interest rates risk and a higher probability of triggering the guaranteed minimum death benefit. This will generally lead to a decrease of the net MRB asset.

Measuring the Fair Value of Investments Using Net Asset Valuations as a Practical Expedient

The table below reflects the Company's portfolio of investments measured using net asset valuations as the practical expedient at December 31, 2024 and 2023 (in thousands of US dollars):

	At December 31, 2024		**At December 31, 2023**			
	Carrying Value [1]	**Remaining Unfunded Commitment**	**Carrying Value [1]**	**Remaining Unfunded Commitment**	**Redemption Frequency**	**Redemption Notice Period**
Public equity funds	**$ 773,349**	**$ —**	$ 638,038	$ —	See below	See below
Private equity funds	**227,943**	**28,652**	302,901	37,771	See below	See below
Private credit funds	**137,431**	**53,020**	200,831	67,124	See below	See below
Multi-strategy funds	**418,584**	**27,158**	382,231	42,098	See below	See below
Total fund investments	**$ 1,557,307**	**$ 108,830**	$ 1,524,001	$ 146,993		

(1) The table above only reflects the Company's investments valued at fair value based on the NAV practical expedient, which includes fund investments of $895.3 million included in Equities and $662.0 million included in Other invested assets at December 31, 2024 and fund investments of $838.9 million included in Equities and $685.1 million included in Other invested assets at December 31, 2023.

Investment Strategies and redemption terms and conditions of the various funds included in the above table are as follows:

Public Equity Funds— The Company's investments in public equity funds include long/short funds and also funds invested in geographically diverse regions such as Asia seeking higher risk-adjusted returns, that primarily invest in public

equities. The Company generally has the right to redeem these funds during a quarterly redemption period with 30 - 60 days' prior notice, some of which are subject to redemption thresholds and redemption fees. During 2022, the Company agreed it would not sell certain investments for a three year period. The carrying value of these investments amounts to $708 million $575.0 million at December 31, 2024 and 2023, respectively.

Private Equity Funds— The Company's investments in private equity funds include limited partnerships or similar interests that invest in private equity assets. The Company generally has no right to redeem its interest in any of these private equity funds in advance of dissolution of the applicable limited partnerships. Instead, distributions are received by the Company in connection with the exit from the underlying private equity investments of the fund. It is estimated that the majority of the underlying assets of the limited partnerships would liquidate over 5 to 10 years from inception of the limited partnership.

Private Credit Funds— The Company's investments in private credit funds include funds and limited partnerships or similar interests that invest in private credit instruments, including senior secured bank loan funds, secondaries, and mezzanine investments. The Company generally has no right to redeem its interest in any of these private credit funds in advance of dissolution of the applicable limited partnerships. Instead, distributions are received by the Company in connection with the liquidation or maturity of the underlying private credit assets of the fund. It is estimated that the majority of the underlying assets of the limited partnerships would liquidate over 5 to 10 years from inception of the limited partnership.

Multi-Strategy Funds— The Company's investments in multi-strategy funds include limited partnerships or similar interests that invest across diverse asset classes, including equities, bonds, credit markets, and real estate. For one multi-strategy fund with a carrying value of $220 million and $235 million at December 31, 2024 and 2023, respectively, the Company does have quarterly redemption rights subject to a 60 day notice period, gate policy. During 2022, the Company agreed it would not sell this investment for a three year period. The Company generally has no right to redeem its interest in any of the remaining multi-strategy limited partnership funds in advance of dissolution. Instead, distributions are received by the Company in connection with the liquidation or maturity of the underlying assets of the fund. It is estimated the majority of the underlying assets of the limited partnerships would liquidate over 5 to 10 years from inception of the limited partnership.

The fair values of these public equity, private equity, private credit and multi-strategy funds are estimated using net asset valuations as advised by external fund managers or third party administrators. NAV's are based on the manager's or administrator's valuation of the underlying assets of the fund in accordance with the fund's governing documents and in accordance with U.S. GAAP. For NAV fund valuations, valuation statements are typically released on a reporting lag and accordingly, the Company estimates the value of these funds using the most recent fund valuations as adjusted for capital calls, redemptions, drawdowns and distributions. NAV estimates may not be available from all fund managers, therefore the Company typically has a reporting lag in its fair value measurements of these funds.

The fair values of these funds are measured using the NAV as practical expedient, therefore the fair values of these funds have not been categorized within the fair value hierarchy.

(b) Fair Value of Financial Instrument Liabilities

At December 31, 2024 and 2023, the carrying values of financial instrument liabilities recorded in the Consolidated Balance Sheets approximate their fair values.

Disclosures about the fair value of financial instrument liabilities exclude insurance contracts. GMDB liabilities classified as MRBs have been described above under Market risk benefit assets and liabilities.

4. Investments

(a) Net Realized and Unrealized Investment Gains

The components of the net realized and unrealized investment gains for the years ended December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

	2024	2023
Net realized investment gains (losses) on fixed maturities and short-term investments	**$ 981**	$ (5,706)
Net realized investment gains on equities	**12,627**	98,033
Net realized gains on other invested assets	**27,845**	2,751
Net realized gains	**$ 41,453**	$ 95,078
Change in net unrealized investment (losses) gains on fixed maturities and short-term investments	**$ (66,427)**	$ 85,846
Change in net unrealized investment gain on equities	**130,284**	81,989
Change in net unrealized gains (losses) on other invested assets	**(26,920)**	(83,849)
Net unrealized gain	**$ 36,937**	$ 83,986
Net realized and unrealized investment gains	**$ 78,390**	$ 179,064

(b) Net Investment Income

The components of net investment income for the years ended December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

	2024	2023
Fixed maturities	**$ 225,048**	$ 147,727
Short-term investments and cash and cash equivalents	**22,570**	29,533
Other invested assets	**61,671**	90,440
Equities, funds held and other [(1)]	**45,799**	48,105
Investment expenses	**(33,565)**	(35,415)
Net investment income	**$ 321,523**	$ 280,390

(1) The Company generally earns investment income on funds held by reinsured companies, including the quota-share agreement with PartnerRe Europe (see Note 18), based upon a predetermined interest rate, either fixed contractually at the inception of the contract or based upon a recognized index. Interest rates ranged from 0.5% to 5.5% for the year ended December 31, 2024 and from 0.2% to 7.5% for the year ended December 31, 2023.

(c) Pledged and Restricted Assets

At December 31, 2024 and 2023, approximately $60.8 million and $17.6 million, respectively, of cash and cash equivalents and approximately $2,601.9 million and $2,775.4 million, respectively, of securities were deposited, pledged, held in trust or escrow accounts in favor of ceding companies, intercompany agreements, and other counterparties or government authorities to comply with reinsurance contract provisions and insurance laws.

The Company operates a multi-beneficiary U.S. reinsurance trust (the trust) to enable its U.S. cedants to take statutory financial statement credit without the need to post contract-specific security. The trust is required to maintain sufficient assets to support both its liabilities related to some of its U.S. cedants, for contracts incepting after June 2010, and a minimum surplus of $20.0 million. At December 31, 2024 and 2023, assets held by the trust exceeded liabilities and minimum surplus by $265 million and $217.0 million, respectively. The Company is currently approved to utilize the trust in all U.S. jurisdictions. Effective September 6, 2022, the Company was approved as a reciprocal reinsurer, eliminating the collateral requirements referenced above for any new business assumed from U.S. cedants.

(d) Receivable for Securities Sold and Payable for Securities Purchased

At December 31, 2024 and 2023, receivables for securities sold of $37.2 million and $44.8 million, respectively, were recorded within Other assets. At December 31, 2024 and 2023, payables for securities purchased of $63.5 million and $98.9 million, respectively, were recorded within Accounts payable, accrued expenses and other in the Consolidated Balance Sheets.

(e) Variable Interest Entities

The Company holds variable interests in VIEs including certain limited liability companies for partnerships, fixed maturity investments and asset-backed securities. The holdings in these VIEs are reported within Fixed maturities and Other invested assets in the Company's Consolidated Balance Sheets. The Company's involvement in these entities is, for the most part, passive in nature. The Company's maximum exposure to loss with respect to these investments is limited to the amounts invested in and advanced to the VIEs, and any unfunded commitments. As at December 31, 2024 and 2023, the Company did not have material consolidated VIEs.

(f) Other Invested Assets

At December 31, 2024 and 2023, the Company had carrying values of $1,030.4 million and $1,092.6 million respectively, of investments that were either accounted for under the equity method of accounting or would have been accounted for under the equity method if the Company had not chosen to apply the fair value option.

At December 31, 2024 and 2023, the Company held a 36% shareholding in the privately held United Kingdom real estate investment and development group, Almacantar Group Limited (Almacantar). The investment is accounted for under the fair value option and included within Other invested assets in the Consolidated Balance Sheets. At December 31, 2024 and 2023, the total carrying value of this investment was $457.2 million and $471.2 million, respectively.

At December 31, 2024 and 2023, the Company's equity method investments are comprised primarily of passive investment interests focusing in the real estate sector. The Company had equity method investments of $47.7 million and $69.5 million, respectively, included within Other invested assets in the Consolidated Balance Sheets. Dividends on equity method investments were $0.4 million and $2.5 million for the years ended December 31, 2024 and 2023, respectively.

5. Derivatives

The Company's objectives for holding or issuing derivatives are as follows:

Foreign Exchange Forward Contracts—The Company utilizes foreign exchange forward contracts as part of its overall currency risk management and investment strategies.

Insurance-linked Securities—The Company enters into various derivatives for which the underlying risks reference parametric weather risks, pandemic outbreaks and mortality, in addition to longevity total return swaps for which the underlying risks reference longevity risks.

Total Return and Interest Rate Swaps—The Company enters into total return swaps referencing certain investments in Other invested assets. The Company enters into interest rate swaps to mitigate the interest rate risk on certain of the total return swaps and certain fixed maturity investments.

To-Be-Announced Mortgage-Backed Securities (TBAs)—The Company utilizes TBAs as part of its overall investment strategy and to enhance investment performance.

There were no derivatives designated as hedges for the years ended December 31, 2024 and 2023. The net fair values of derivatives included in Other invested assets within the Company's Consolidated Balance Sheets and the related net notional exposures at December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

December 31, 2024	Asset derivatives at fair value	Liability derivatives at fair value	Net derivatives	
			Fair value	Net notional exposure
Derivatives not designated as hedges				
Foreign exchange forward contracts	**$ 23,322**	**$ (5,624)**	**$ 17,698**	**$ 2,197,100**
Insurance-linked securities [1]	**7,244**	**—**	**7,244**	**8,800**
Total derivatives not designated as hedges	**$ 30,566**	**$ (5,624)**	**$ 24,942**	

December 31, 2023	Asset derivatives at fair value	Liability derivatives at fair value	Net derivatives	
			Fair value	Net notional exposure
Derivatives not designated as hedges				
Foreign exchange forward contracts	**$ 6,056**	**$ (24,422)**	**$ (18,366)**	**$ 1,271,257**
Insurance-linked securities [1]	**7,235**	**—**	**7,235**	**9,700**
Total derivatives not designated as hedges	**$ 13,291**	**$ (24,422)**	**$ (11,131)**	

(*1*) *Insurance-linked securities include longevity swaps for which the notional amounts are not reflective of the overall potential exposure of the swaps. The net notional exposure above included the Company's best estimate of the present value of future expected claims.*

The gains and losses in the Consolidated Statements of Operations for derivatives not designated as hedges for the years ended December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

	2024	2023
Foreign exchange forward contracts	**$ 99,182**	$ (56,407)
Total included in net foreign exchange gains (losses)	**$ 99,182**	$ (56,407)
Insurance-linked securities	**$ 139**	$ (1,755)
Total return swaps	**—**	(5)
TBAs	**—**	425
Other	**86**	—
Total included in net realized and unrealized investment gains (losses)	**$ 225**	$ (1,335)
Total gains (losses) on derivatives not designated as hedges	**$ 99,407**	$ (57,742)

Offsetting of Derivatives

The gross and net fair values of derivatives that are subject to offsetting in the Consolidated Balance Sheets at December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

				Gross amounts not offset in the balance sheet		
December 31, 2024	**Gross amounts recognized [1]**	**Gross amounts offset in the balance sheet**	**Net amounts of assets / liabilities presented in the balance sheet**	**Financial instruments collateral**	**Cash collateral received / pledged**	**Net amount**
Total derivative assets	**$ 30,566**	**$ —**	**$ 30,566**	**$ —**	**$ (24,453)**	**$ 6,113**
Total derivative liabilities	**$ (5,624)**	**$ —**	**$ (5,624)**	**$ —**	**$ —**	**$ (5,624)**
December 31, 2023						
Total derivative assets	$ 13,291	$ —	$ 13,291	$ —	$ (19,938)	$ (6,647)
Total derivative liabilities	$ (24,422)	$ —	$ (24,422)	$ —	$ 16,220	$ (8,202)

(*1*) *Amounts include all derivative instruments, irrespective of whether there is a legally enforceable master netting arrangement in place.*

6. Goodwill and Intangible Assets

The Company's goodwill was re-allocated to the Company from PartnerRe Europe during 2012. The Company's intangible asset relates to life VOBA from the Parent's acquisition of Aurigen Capital Limited (Aurigen Capital) in 2017. Aurigen Capital owned 100% of Aurigen Reinsurance Limited (ARL). In 2018, Aurigen Capital merged into the Parent, with the Parent being the sole survivor. The Parent's share interest in ARL was transferred to the Company and ARL was then merged into PartnerRe Life, with PartnerRe Life being the sole survivor, resulting in the Company's recognition of life VOBA.

The Company's goodwill and intangible assets were as follows at December 31, 2024 and 2023 (in thousands of U.S. dollars):

	Goodwill	**Intangible assets**
Balance at December 31, 2022	$ 26,014	$ 65,668
Intangible assets amortization	n/a	(2,319)
Balance at December 31, 2023	$ 26,014	$ 63,349
Intangible assets amortization	**n/a**	**(2,344)**
Balance at December 31, 2024	**$ 26,014**	**$ 61,005**

n/a: Not applicable

As of December 31, 2024, the gross carrying amount and accumulated amortization of the Company's intangible assets were $82.2 million and $21.1 million, respectively. As of December 31, 2023, the gross carrying amount and accumulated amortization were $82.2 million and $18.8 million, respectively. The life VOBA is a definite-lived intangible assets that is being amortized over 100 years from the date of acquisition of Aurigen Capital by PartnerRe Ltd. on April 3, 2017.

The estimated future amortization expense related to the Company's definite-lived intangible assets is as follows (in thousands of U.S. dollars):

Year	Intangible assets
2025	$ 2,070
2026	1,892
2027	2,238
2028	2,247
2029	2,270
Thereafter	50,288
Total	$ 61,005

7. Deferred Acquisition Costs

Deferred acquisition costs comprises capitalized costs of $255.8 million and $256.8 million related to Non-life business and $188.8 million and $177.0 million related to Life and health business at December 31, 2024 and 2023, respectively.

The reconciliation of beginning and ending balances of deferred acquisition costs for the Company's traditional and limited payment long-duration contract business for the years ended December 31, 2024 and 2023 was as follows (in thousands of dollars):

	2024	2023
Long-Term Protection		
Balance at beginning of year	**$ 177,021**	$ 164,898
Capitalizations	**37,108**	23,372
Amortization expense	**(11,565)**	(15,247)
Foreign exchange and other	**(13,778)**	3,998
Balance at end of year	**$ 188,786**	$ 177,021

8. Non-life Reserves

Non-life reserves are categorized into three types of reserves: case reserves, ACRs and IBNR reserves. Case reserves represent unpaid losses reported by the Company's cedants and recorded by the Company. ACRs are established for particular circumstances where, on the basis of individual loss reports, the Company estimates that the particular loss or collection of losses covered by a treaty may be greater than those advised by the cedant. IBNR reserves represent a provision for claims that have been incurred but not yet reported to the Company, as well as future loss development on losses already reported, in excess of the case reserves and ACRs. See also Note 2(b).

The Company's gross liability for non-life reserves at December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	December 31, 2024	December 31, 2023
Case reserves	**$ 2,350,206**	$ 2,421,357
ACRs	**95,536**	89,052
IBNR reserves	**2,829,637**	2,732,503
Non-life reserves	**$ 5,275,379**	$ 5,242,912

The reconciliation of the beginning and ending gross and net liability for non-life reserves for the years ended December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	2024	2023
Gross liability at beginning of year	**$ 5,242,912**	$ 5,386,054
Reinsurance recoverable at beginning of year	**750,097**	877,537
Net liability at beginning of year	**4,492,815**	4,508,517
Net incurred losses related to:		
Current year	**1,210,242**	1,106,753
Prior years	**(12,972)**	(73,701)
	1,197,270	1,033,052
Net paid losses related to:		
Current year	**(155,527)**	(168,847)
Prior years	**(847,583)**	(940,207)
	(1,003,110)	(1,109,054)
Retroactive reinsurance recoverable adjustment	**(17,973)**	(21,928)
Effects of foreign exchange rate changes and other	**(55,621)**	82,228
Net liability at end of year	**4,613,381**	4,492,815
Reinsurance recoverable at end of year	**661,998**	750,097
Gross liability at end of year	**$ 5,275,379**	$ 5,242,912

Prior Years' Reserve Development

For the year ended December 31, 2024, the Company reported net favourable loss development for prior accident years resulting from favorable loss emergence in both the P&C and Specialty segments. The favorable loss emergence within the P&C segment was driven by more recent accident years on property lines and was partially offset by adverse loss emergence on casualty lines. The favorable loss emerge within the Specialty segment was across multiple accident years, predominantly from the financial risks, agriculture, and multiline business, which was partially offset by adverse loss emergence in the aviation and marine business.

For the year ended December 31, 2023, the Company reported net favourable loss development for prior accident years resulting from favorable loss emergence in both the P&C and Specialty segments. The favorable loss emergence within the P&C segment was across multiple accident years, mainly driven by property and casualty lines. The favorable loss emergence within the Specialty segment was across multiple accident years, predominantly from the financial risks, agriculture, and multiline business, which was partially offset by adverse loss emergence in the aviation and marine business.

Retroactive Reinsurance Recoverable

During the second quarter of 2021, the Company entered into a loss portfolio transfer and adverse development cover agreement related to prior underwriting years on the Company's U.S. casualty and auto business within the P&C segment. Premium paid for the loss portfolio transfer and adverse development cover agreement, resulted in a cash transfer for the premium at inception of the agreement, and a reinsurance recoverable of $80.1 million and $118.3 million at December 31, 2024 and 2023, respectively. As a result of adverse prior years reserve development ceded under this agreement, a deferred gain of $24.0 million and $22.7 million was recorded in Accounts payable, accrued expense and other in the Consolidated Balance Sheets at December 31, 2024 and 2023, respectively. This transaction is presented retrospectively in the net loss and loss expenses incurred development table for the casualty business below. Reinsurance recoveries under this transaction are attributed to calendar year and accident year based on the underlying distribution of losses subject to the agreement.

Asbestos and Environmental Claims

The Company’s net non-life reserves at December 31, 2024 and 2023 included $20.0 million and $21.7 million, respectively, related to asbestos and environmental claims. The gross liability for such claims at December 31, 2024 and 2023 was $21.6 million and $23.4 million, respectively.

Ultimate loss estimates for such claims cannot be estimated using traditional reserving techniques and there are significant uncertainties in estimating the Company’s potential losses for these claims. In view of the legal and tort environment that affect the development of such claims, the uncertainties inherent in estimating asbestos and environmental

claims are not likely to be resolved in the near future. There can be no assurance that the reserves established by the Company will not be adversely affected by development of other latent exposures, and further, there can be no assurance that the reserves established by the Company will be adequate. The Company does, however, actively evaluate potential exposure to asbestos and environmental claims and establishes additional reserves as appropriate. The Company believes that it has made a reasonable provision for these exposures and is unaware of any specific issues that would materially affect its unpaid losses and loss expense reserves related to this exposure.

Non-life Reserving Methods

The reserving methods commonly employed by the Company are summarized as follows:

Chain Ladder (CL) Development Methods (Reported or Paid)

These methods use the underlying assumption that losses reported (paid) for each underwriting year at a particular development stage follow a stable pattern. The CL development method assumes that on average, every underwriting year will display the same percentage of ultimate liabilities reported by the Company's cedants at 24 months after the inception of the underwriting year. The percentages reported (paid) are established for each development stage after examining historical averages from the loss development data. These are sometimes supplemented by external benchmark information. Ultimate liabilities are estimated by multiplying the actual reported (paid) losses by the reciprocal of the assumed reported (paid) percentage. Reserves are then calculated by subtracting paid claims from the estimated ultimate liabilities.

Expected Loss Ratio (ELR) Method

This method estimates ultimate losses for an underwriting year by applying an estimated loss ratio to the earned premium for that underwriting year. Although the method is insensitive to actual reported or paid losses, it can often be useful at the early stages of development when very few losses have been reported or paid, and the principal sources of information available to the Company consist of information obtained during pricing and qualitative information supplied by the cedant. However, the lack of sensitivity to reported or paid losses means that the method is usually inappropriate at later stages of development.

Bornhuetter-Ferguson (B-F) Methods (Reported or Paid)

These methods aim to address the variability at early stages of development and incorporates external information such as pricing. The B-F methods are more sensitive to reported and paid losses than the ELR method, and can be seen as a blend of the ELR and CL development methods. Unreported (unpaid) claims are calculated using an expected reporting (payment) pattern and an externally determined estimate of ultimate liabilities (usually determined by multiplying an a priori loss ratio with estimates of premium volume). The accuracy of the a priori loss ratio is a critical assumption in this method. Usually a priori loss ratios are initially determined on the basis of pricing information, but may also be adjusted to reflect other information that subsequently emerges about underlying loss experience.

Loss Event Specific Method

The ultimate losses estimated under this method are derived from estimates of specific events based on reported claims, client and broker discussions, review of potential exposures, market loss estimates, modeled analysis and other event specific criteria.

Method Weights

In determining the loss reserves, the Company often relies on a blend of the results from two or more methods (e.g., weighted averages). The judgment as to which of the above method(s) is most appropriate for a particular underwriting year and reserving cell could change over time as new information emerges regarding underlying loss activity and other data issues. Furthermore, as each line is typically composed of several reserving cells, it is likely that the reserves for the line will be dependent on several reserving methods. This is because reserves for a line are the result of aggregating the reserves for each constituent reserving cell and that a different method could be selected for each reserving cell.

The principal reserving methods used for each of the Specialty business and P&C business were ELR, Reported/Paid B-F, and Reported/Paid CL, with the exception of catastrophe risks within the P&C business where the principal reserving methods used were ELR based on exposure analysis and loss event specific methods.

Non-life net incurred and paid losses and loss expense development

The net incurred and paid losses and loss expenses development by accident year for each of the years ended December 31, 2015 through 2024, and the total of IBNR plus expected development on reported claims included within the net incurred claims amounts, as at each of the years ended December 31, 2015 through 2024, are presented in the tables below (in thousands of U.S. dollars). The tables below reflect losses incurred and paid losses translated to U.S. dollars at the exchange rate as of the balance sheet date whereas the Losses and loss expenses in the Consolidated Statements of Operations reflected losses incurred at the average exchange rate for the period.

The reconciliation of the net incurred and paid claims development information above to the Non-life reserves in the Consolidated Balance Sheet at December 31, 2024 was as follows (in thousands of U.S. dollars):

		December 31, 2024
Total outstanding liability for unpaid claims		
Property	$	**915,979**
Casualty		**1,777,665**
Specialty		**1,885,014**
Total outstanding liabilities for unpaid claims	$	**4,578,658**
Other liabilities [1]	$	**34,723**
Net liability at end of year	$	**4,613,381**
Reinsurance recoverable on unpaid claims		
Property	$	**573,247**
Casualty		**88,183**
Specialty		**568**
Reinsurance recoverable at end of year	$	**661,998**
Gross liability at end of year	$	**5,275,379**

[1] *Other liabilities included in the reconciliation relate primarily to unallocated loss expenses.*

NET INCURRED LOSSES AND LOSS EXPENSES DEVELOPMENT TABLE - NON-LIFE

	For the year ended December 31,										December 31, 2024
Accident year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**Total of IBNR plus expected development on reported claims**
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)		
2015	$1,150,906	$1,194,358	$1,156,666	$1,153,729	$1,153,912	$1,139,183	$1,132,395	$1,123,380	$1,124,693	$ 1,126,763	$ 27,205
2016		1,112,685	1,150,861	1,117,443	1,117,057	1,116,806	1,128,313	1,125,470	1,123,902	1,125,922	33,478
2017			1,552,738	1,674,063	1,615,969	1,591,248	1,598,238	1,597,841	1,598,971	1,605,773	81,775
2018				1,359,136	1,546,635	1,564,987	1,560,823	1,582,531	1,586,983	1,591,005	76,755
2019					1,217,386	1,431,755	1,394,957	1,398,016	1,402,672	1,406,979	87,716
2020						1,682,219	1,505,352	1,449,095	1,444,022	1,444,496	167,707
2021							1,255,804	1,211,714	1,194,818	1,192,517	403,216
2022								1,375,547	1,309,085	1,292,101	476,842
2023									1,106,822	1,089,794	415,702
2024										**1,210,242**	**562,325**
Total										**$ 13,085,592**	**$ 2,332,721**

NET PAID LOSSES AND LOSS EXPENSES DEVELOPMENT TABLE - NON-LIFE

	For the year ended December 31,									
Accident year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	
2015	$ 141,113	$ 517,510	$ 701,098	$ 807,796	$ 871,450	$ 915,211	$ 946,331	$ 968,569	$ 982,104	$ 985,419
2016		144,701	562,550	727,861	853,173	912,428	950,570	986,328	1,010,309	1,016,938
2017			260,397	883,318	1,092,298	1,251,119	1,305,124	1,357,599	1,397,300	1,408,523
2018				140,776	657,355	955,714	1,118,587	1,196,720	1,251,185	1,267,031
2019					225,522	672,870	941,669	1,067,129	1,144,017	1,174,374
2020						189,732	546,306	741,625	843,123	894,181
2021							158,222	510,517	666,440	789,828
2022								167,638	464,871	629,943
2023									168,909	419,235
2024										**155,527**
Total										**$ 8,740,999**
Net reserves for Accident Years and exposures included in the triangles										$ 4,344,593
All outstanding liabilities before Accident Year 2015, net of reinsurance										234,065
Total outstanding net liabilities for unpaid claims										**$ 4,578,658**

AVERAGE ANNUAL PERCENTAGE PAYOUT OF INCURRED CLAIMS BY AGE, NET OF REINSURANCE - NON-LIFE (unaudited)

Years	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**
Non-life	13%	30%	15%	10%	5%	3%	2%	1%	1%	—%

NET INCURRED LOSSES AND LOSS EXPENSES DEVELOPMENT TABLE - PROPERTY

	For the year ended December 31,										December 31, 2024
Accident year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**Total of IBNR plus expected development on reported claims**
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)		
2015	$ 262,997	$ 263,590	$ 250,979	$ 243,540	$ 242,115	$ 239,707	$ 242,317	$ 242,071	$ 242,407	$ 242,275	$ 779
2016		308,448	303,495	279,339	269,911	267,519	268,417	268,853	267,191	267,046	581
2017			695,655	705,426	647,603	624,384	619,490	617,847	617,515	616,976	7,724
2018				517,976	496,753	493,102	476,335	469,416	469,956	469,698	5,095
2019					386,512	412,011	364,449	347,156	348,333	347,667	5,556
2020						569,843	570,892	550,317	541,903	538,023	37,933
2021							515,314	480,072	464,080	458,317	169,868
2022								567,027	498,009	482,473	212,338
2023									116,397	106,658	71,529
2024										**232,932**	**252,010**
Total										**$ 3,762,065**	**$ 763,413**

NET PAID LOSSES AND LOSS EXPENSES DEVELOPMENT TABLE - PROPERTY

	For the year ended December 31,									
Accident year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	
2015	$ 37,299	$ 153,084	$ 200,333	$ 215,018	$ 220,387	$ 223,148	$ 227,021	$ 227,859	$ 227,962	$ 227,984
2016		55,015	197,909	234,095	251,350	258,215	262,064	263,358	264,102	264,146
2017			162,028	494,333	551,254	579,574	583,081	585,547	586,696	587,009
2018				35,949	310,702	391,256	414,210	422,361	424,551	425,034
2019					27,298	226,066	284,054	299,791	307,030	307,951
2020						52,448	246,159	330,316	344,291	347,336
2021							45,186	228,164	302,902	308,781
2022								38,202	200,704	232,143
2023									46,813	115,170
2024										**39,334**
Total										**$ 2,854,888**
Net reserves for Accident Years and exposures included in the triangles										$ 907,177
All outstanding liabilities before Accident Year 2015, net of reinsurance										8,802
Total outstanding net liabilities for unpaid claims										**$ 915,979**

AVERAGE ANNUAL PERCENTAGE PAYOUT OF INCURRED CLAIMS BY AGE, NET OF REINSURANCE - PROPERTY (unaudited)

Years	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**
Property	13%	44%	13%	4%	1%	1%	—%	—%	—%	—%

NET INCURRED LOSSES AND LOSS EXPENSES DEVELOPMENT TABLE - CASUALTY

	For the year ended December 31,										December 31, 2024
Accident year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**Total of IBNR plus expected development on reported claims**
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)		
2015	$ 279,719	$ 316,269	$ 308,887	$ 318,951	$ 316,544	$ 314,279	$ 307,734	$ 301,974	$ 303,307	$ 306,216	$ 18,648
2016		270,088	308,538	308,665	311,862	316,048	324,750	323,138	323,522	326,679	23,813
2017			293,991	356,944	361,500	362,525	367,831	367,564	369,915	379,007	54,740
2018				327,246	382,568	383,491	383,354	383,287	388,315	395,188	45,858
2019					248,818	286,332	287,652	286,671	292,179	300,427	63,768
2020						245,632	245,524	243,748	249,557	257,646	94,993
2021							197,658	197,616	203,344	219,283	124,701
2022								178,410	191,716	207,692	123,612
2023									319,684	341,127	141,232
2024										**395,735**	**90,207**
Total										**$ 3,129,000**	**$ 781,572**

NET PAID LOSSES AND LOSS EXPENSES DEVELOPMENT TABLE - CASUALTY

	For the year ended December 31,									
Accident year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	
2015	$ 32,601	$ 80,421	$ 125,594	$ 157,600	$ 194,480	$ 221,257	$ 240,590	$ 255,154	$ 265,956	$ 266,352
2016		9,039	56,410	98,122	146,983	181,815	206,523	231,677	250,591	251,382
2017			28,593	77,566	116,512	156,673	187,170	218,167	250,834	252,218
2018				34,038	99,803	147,599	183,382	221,505	261,762	264,152
2019					37,625	94,450	130,273	157,520	207,032	209,977
2020						35,487	(8,614)	7,761	43,148	46,770
2021							20,085	61,642	82,909	85,497
2022								22,269	76,240	77,795
2023									39,375	43,323
2024										**35,066**
Total										**$ 1,532,532**
Net reserves for Accident Years and exposures included in the triangles										$ 1,596,468
All outstanding liabilities before Accident Year 2015, net of reinsurance										181,197
Total outstanding net liabilities for unpaid claims										**$ 1,777,665**

AVERAGE ANNUAL PERCENTAGE PAYOUT OF INCURRED CLAIMS BY AGE, NET OF REINSURANCE - CASUALTY (unaudited)

Years	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**
Casualty	11%	12%	11%	10%	10%	7%	6%	3%	2%	—%

NET INCURRED LOSSES AND LOSS EXPENSES DEVELOPMENT TABLE - SPECIALTY

	For the year ended December 31,										December 31, 2024
Accident year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**Total of IBNR plus expected development on reported claims**
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)		
2015	$ 608,190	$ 614,498	$ 596,800	$ 591,238	$ 595,253	$ 585,197	$ 582,344	$ 579,335	$ 578,978	$ 578,272	$ 7,778
2016		534,150	538,828	529,439	535,284	533,239	535,146	533,479	533,189	532,197	9,084
2017			563,092	611,693	606,865	604,338	610,916	612,431	611,541	609,790	19,311
2018				513,915	667,314	688,394	701,134	729,828	728,712	726,119	25,802
2019					582,055	733,413	742,856	764,189	762,161	758,885	18,392
2020						866,745	688,936	655,029	652,562	648,827	34,781
2021							542,832	534,026	527,394	514,917	108,647
2022								630,111	619,360	601,936	140,892
2023									670,741	642,009	202,941
2024										**581,575**	**220,108**
Total										**$ 6,194,527**	**$ 787,736**

NET PAID LOSSES AND LOSS EXPENSES DEVELOPMENT TABLE - SPECIALTY

	For the year ended December 31,									
Accident year	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	(unaudited)	
2015	$ 71,214	$ 284,005	$ 375,171	$ 435,179	$ 456,583	$ 470,806	$ 478,720	$ 485,557	$ 488,185	$ 491,083
2016		80,646	308,230	395,644	454,841	472,397	481,982	491,293	495,615	501,410
2017			69,775	311,419	424,532	514,873	534,873	553,884	559,770	569,296
2018				70,790	246,850	416,859	520,995	552,854	564,871	577,845
2019					160,599	352,354	527,342	609,817	629,956	656,446
2020						101,797	308,761	403,549	455,684	500,075
2021							92,951	220,711	280,629	395,550
2022								107,168	187,928	320,005
2023									82,721	260,742
2024										**81,127**
Total										**$ 4,353,579**
Net reserves for Accident Years and exposures included in the triangles										$ 1,840,948
All outstanding liabilities before Accident Year 2015, net of reinsurance										44,066
Total outstanding net liabilities for unpaid claims										**$ 1,885,014**

AVERAGE ANNUAL PERCENTAGE PAYOUT OF INCURRED CLAIMS BY AGE, NET OF REINSURANCE - SPECIALTY (unaudited)

Years	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**
Specialty	15%	29%	19%	13%	4%	3%	1%	1%	1%	1%

The Company is predominantly a reinsurer of primary insurers and does not have access to claim frequency information held by our cedants due to the majority of the Company's business being written on a proportional basis. As such, the Company considers it impracticable to disclose information on the frequency of claims.

9. Life and Health Reserves

The Company's liability for life and health reserves at December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	December 31, 2024	December 31, 2023
Long-term protection	**$ 798,962**	$ 812,160
Longevity	**339,433**	359,949
Total traditional and limited payment long-duration life and health reserves	**$ 1,138,395**	$ 1,172,109
Other long-duration life and health reserves	**94,055**	103,246
Short-term life and health reserves	**599,273**	526,373
Life and health reserves	**$ 1,831,723**	$ 1,801,728

Traditional and limited payment long-duration contracts

The reconciliation of the beginning and ending liability for the Company's life and health reserves for traditional and limited payment long-duration contracts for the years ended December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	2024		2023	
	Long-Term Protection	Longevity	Long-Term Protection	Longevity
Present Value of Expected Net Premiums				
Balance, beginning of year	**$ 4,582,170**	**$ 8,377,957**	$ 3,901,173	$ 5,241,385
Beginning balance at original discount rate	**5,628,745**	**9,855,127**	5,219,788	7,277,818
Effect of changes in cash flow assumptions	**59,577**	**(19,482)**	(54,210)	1,208
Effect of actual variances from expected experience	**42,102**	**(40,077)**	65,775	(72,227)
Foreign exchange effect and other	**(13,225)**	**(31,100)**	10,321	(71,444)
Adjusted beginning of year balance	**5,717,199**	**9,764,468**	5,241,674	7,135,355
Issuances	**603,243**	**—**	449,398	2,795,804
Interest accrual	**145,098**	**284,324**	126,084	244,371
Net premiums collected	**(330,272)**	**(820,342)**	(303,130)	(816,984)
Foreign exchange effect and other	**(444,681)**	**(241,360)**	114,719	496,581
Ending balance at original discount rate	**5,690,587**	**8,987,090**	5,628,745	9,855,127
Effect of changes in discount rate assumptions	**(1,048,490)**	**(1,532,839)**	(1,046,575)	(1,477,170)
Balance, end of year	**$ 4,642,097**	**$ 7,454,251**	$ 4,582,170	$ 8,377,957
Present Value of Expected Future Policy Benefits				
Balance, beginning of year	**$ 5,391,499**	**$ 8,736,810**	$ 4,628,155	$ 5,465,605
Beginning balance at original discount rate	**6,494,667**	**10,177,050**	6,022,928	7,478,836
Effect of changes in cash flow assumptions	**58,921**	**(18,518)**	(50,987)	1,504
Effect of actual variances from expected experience	**57,972**	**(46,946)**	64,137	(80,575)
Foreign exchange effect and other	**(16,248)**	**(32,538)**	23,179	(81,060)
Adjusted beginning of year balance	**6,595,312**	**10,079,048**	6,059,257	7,318,705
Issuances	**604,334**	**—**	450,490	2,800,366
Interest accrual	**157,102**	**285,752**	138,933	247,669
Benefit payments	**(332,996)**	**(830,783)**	(291,478)	(705,308)
Foreign exchange effect and other	**(487,948)**	**(248,342)**	137,465	515,618
Ending balance at original discount rate	**6,535,804**	**9,285,675**	6,494,667	10,177,050
Effect of changes in discount rate assumptions	**(1,096,093)**	**(1,495,105)**	(1,103,168)	(1,440,240)
Balance, end of year	**$ 5,439,711**	**$ 7,790,570**	$ 5,391,499	$ 8,736,810
Cumulative impact of flooring	**$ 1,348**	**$ 3,114**	$ 2,831	$ 1,096
Liability for future policy benefits, after flooring adjustment	**$ 798,962**	**$ 339,433**	$ 812,160	$ 359,949

The amount of undiscounted and discounted expected future gross premiums and expected future benefit payments for traditional and limited payment long-duration contracts for the years ended December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	December 31, 2024	December 31, 2023
Long-Term Protection		
Undiscounted expected future gross premiums	**$ 12,167,810**	$ 11,750,072
Undiscounted expected future benefit payments	**$ 10,859,059**	$ 10,563,891
Discounted expected future gross premiums	**$ 5,865,538**	$ 5,790,399
Discounted expected future benefit payments	**$ 5,439,711**	$ 5,391,499
Longevity		
Undiscounted expected future gross premiums	**$ 13,168,962**	$ 14,413,381
Undiscounted expected future benefit payments	**$ 12,468,648**	$ 13,682,588
Discounted expected future gross premiums	**$ 8,033,892**	$ 9,004,663
Discounted expected future benefit payments	**$ 7,790,570**	$ 8,736,810

The total gross premiums and interest expense recognized in the Consolidated Statements of Operations for traditional and limited payment long-duration contracts for the years ended December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

	Gross Premium		Interest Expense	
	2024	2023	2024	2023
Long-term protection	**$ 433,171**	$ 396,795	**$ 12,003**	$ 12,849
Longevity	**880,077**	874,955	**1,428**	3,297
Total	**$ 1,313,248**	$ 1,271,750	**$ 13,431**	$ 16,146

The weighted-average interest rates for traditional and limited payment long-duration contracts for the years ended December 31, 2024 and 2023 were as follows:

	2024	2023
Long-Term Protection		
Interest accretion rate	**2.71 %**	2.50 %
Current discount rate	**4.39 %**	4.17 %

	2024	2023
Longevity		
Interest accretion rate	**3.03 %**	3.02 %
Current discount rate	**5.14 %**	4.82 %

The weighted-average duration of reserves for long-term protection was 5.1 years and 4.1 years for the years ended December 31, 2024 and 2023, respectively. The weighted average duration of reserves for Longevity has been split into the fixed premium leg and the floating claims leg, with the fixed premium leg having a duration of 7.5 years and 7.7 years and the floating claims leg having a duration of 7.3 years and 7.5 years for the years ended December 31, 2024 and 2023, respectively.

Long-Term Protection

Significant assumptions used to calculate the LFPB for long-term protection include mortality, morbidity, and persistency, and both locked-in and current discount rates.

In 2024, the Company undertook a review of significant assumptions and primarily made changes to mortality. Mortality assumption updates primarily reflected adverse future mortality improvements and claims experience. Current discount rates were updated from 2023 resulting in a slight increase to the LFPB.

In 2023, the Company undertook a review of significant assumptions and primarily made changes to mortality and morbidity. Mortality assumption updates primarily reflected mixed future mortality improvements and claims experience on certain treaties that largely offset. Morbidity assumption updates primarily reflected adverse claims experience on a specific treaty. Current discount rates were updated from 2022 resulting in a slight increase to the LFPB.

Impacts to expected net premiums and expected future policy benefits due to assumption changes in 2024 and 2023 can be observed in the LFPB rollforward tables at December 31, 2024 and 2023.

Longevity

Significant assumptions used to calculate the LFPB for Longevity include mortality, and both locked-in and current discount rates.

In 2024, the Company undertook a review of significant mortality improvement assumptions. Mortality improvement assumption updates primarily reflected favorable claims experience. Current discount rates were updated from 2023, resulting in a slight decrease to the LFPB.

In 2023, the Company undertook a review of significant assumptions and updated mortality improvement assumptions to reflect favorable developments prior to COVID-19. Current discount rates were updated from 2022, resulting in a slight decrease to the LFPB.

Impacts to expected net premiums and expected future policy benefits due to assumption changes in 2024 and 2023 can be observed in the LFPB rollforward tables at December 31, 2024 and 2023.

Life and health short-duration reserves

The reconciliation of the beginning and ending liability of the life and health reserves for short-duration contracts for the years ended December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	December 31, 2024	December 31, 2023
Gross liability at beginning of year	**$ 526,373**	$ 508,000
Reinsurance recoverable at beginning of year	**—**	—
Net liability at beginning of year	**526,373**	508,000
Net incurred losses	**248,467**	116,803
Net losses paid	**(135,694)**	(115,719)
Effects of foreign exchange rate changes and other	**(39,873)**	17,289
Net liability at end of year	**$ 599,273**	$ 526,373
Reinsurance recoverable at end of year	**—**	—
Gross liability at end of year	**$ 599,273**	$ 526,373

10. Market Risk Benefits

MRBs, which relate to our GMDB business, are measured at fair value using an option-based valuation model based on current net amounts at risk, market data, Company experience and other factors. Declines in the equity markets, increased volatility, and a low interest rate environment increase the Company's exposure to liabilities under the guaranteed features. The net amount at risk for GMDB is defined as the current guaranteed benefit amount in excess of the current contract value.

The reconciliation of beginning and ending balances of market risk benefits for the years ended December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	2024	2023
	GMDB	
Balance, beginning of year	**$ 84,358**	$ 73,210
Effect of changes in the instrument-specific credit risk	**(780)**	2,205
Balance, beginning of year, before effect of changes in the instrument-specific credit risk	**83,578**	75,415
Issuances	**1,629**	4,219
Interest accrual	**3,931**	3,670
Attributed fees collected	**(19,142)**	(18,123)
Benefit payments	**1,681**	2,360
Actual policyholder behavior different from expected behaviors	**3,790**	(5,188)
Effect of changes in future expected policyholder behavior	**(1,550)**	(7,276)
Effect of changes in other future assumptions	**4,338**	3,521
Effect of changes in interest rates	**(2,338)**	(7,625)
Effect of changes in equity index volatility	**2,474**	7,043
Effect of changes in equity markets	**950**	8,888
Foreign exchange impact	**(5,380)**	3,287
Other	**7,946**	13,387
Balance, end of year, before effect of changes in the instrument-specific credit risk	**$ 81,907**	$ 83,578
Effect of changes in the instrument-specific credit risk	**3,046**	780
Balance, end of year	**$ 84,953**	$ 84,358
Net amount at risk	**$ 101,668**	$ 135,861
Weighted-average attained age of contract holders	**62 years**	61 years

The reconciliation of market risk benefit asset (liability) to the Company's Consolidated Balance Sheets at December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	December 31, 2024			December 31, 2023		
	Asset	Liability	Net	Asset	Liability	Net
Market risk benefits	**$ 85,547**	**$ 594**	**$ 84,953**	$ 87,395	$ 3,037	$ 84,358

In 2024, In 2024, the Company recognized market risk benefit gains primarily due to the impacts of new business and actual and future expected policyholder activity, which increased the net MRB asset. This was partially offset by foreign exchange impacts, which reduced the MRB net asset.

In 2023, the Company recognized market risk benefit gains primarily due to an increase in equity markets and a decrease in equity index volatility, both of which reduce the chance of GMDB being at risk and increases the net MRB asset. The Company also recognized the impacts of new business and actual and future expected policyholder activity.

11. Reinsurance

(a) Reinsurance Recoverable on Paid and Unpaid Losses

The Company uses retrocessional agreements to reduce its exposure to risk of loss on reinsurance assumed. These agreements provide for recovery from retrocessionaires of a portion of losses and loss expenses. The Company remains liable to its cedants to the extent that the retrocessionaires do not meet their obligations under these agreements, and therefore the Company evaluates the financial condition of its reinsurers and monitors concentration of credit risk on an ongoing basis. The Company actively manages its reinsurance exposures by generally selecting either collateralized retrocessionaires or counterparties that have a credit rating of A- or higher.

The Company previously established Lorenz Re Ltd. ("Lorenz Re"), a special purpose insurer registered as a segregated accounts company in Bermuda, as part of its third party capital platform to provide third party investors with access to portfolios of risk in the global reinsurance markets. Lorenz Re operates by providing fully collateralized reinsurance capacity to the Company in respect of multiple lines of business. Lorenz Re raises capital primarily from third party investors seeking exposure to the global reinsurance markets by issuing non-voting redeemable preferred shares in its individual segregated accounts. The proceeds from issuance of these preferred shares are deposited into trust accounts collateralizing varying portfolios of potential reinsurance recoverables, which have established investment guidelines that generally require assets to be held as either cash and cash equivalents or in U.S. government issued securities of high credit quality. For the years ended December 31, 2024 and 2023, the Company recorded ceded premium written to Lorenz Re's segregated cells of $283.9 million and $330.2 million, respectively, and Reinsurance recoverable on paid and unpaid losses from the segregated cells of $378.4 million and $449.8 million, respectively.

In assessing an allowance for reinsurance recoverable balances, the Company considers historical information, financial strength and credit ratings of reinsurers, collateralization amounts and the remaining expected life of reinsurance recoverable balances to determine the appropriateness of the allowance. Historically, the Company has not experienced material credit losses from retrocessional agreements. In assessing future default for reinsurance recoverable balances, the Company evaluates the valuation allowance under the probability of default and loss given default method and utilizes counterparty credit ratings from major rating agencies, as well as assessing the current market conditions and reasonable and supportable forecasts for the likelihood of default. A December 31, 2024 and 2023, the Company's allowance for credit losses on its reinsurance recoverable balance was $1.9 million.

(b) Ceded Reinsurance

Net premiums written, net premiums earned and losses and loss expenses are reported net of reinsurance in the Company's Consolidated Statements of Operations. Assumed, ceded and net amounts for the years ended December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

	2024		
	Premiums Written	**Premiums Earned**	**Losses and Loss Expenses**
Assumed	**$ 4,697,673**	**$ 4,696,982**	**$ 2,708,832**
Ceded	**594,990**	**587,861**	**91,535**
Net	**$ 4,102,683**	**$ 4,109,121**	**$ 2,617,297**

	2023		
	Premiums Written	**Premiums Earned**	**Losses and Loss Expenses**
Assumed	$ 4,379,219	$ 4,335,900	$ 2,282,874
Ceded	524,313	517,777	(554)
Net	$ 3,854,906	$ 3,818,123	$ 2,283,428

12. Shareholder's Equity

At December 31, 2024 and 2023, the total authorized and issued shares of the Company were 3,000,000 shares with a par value of $1.00 per share.

13. Dividend Restrictions and Statutory Requirements

The Company is licensed as a Class 4 and Class E insurer and is therefore authorized to carry on general and long-term insurance business in Bermuda. The Insurance Act regulates insurance business in Bermuda and requires the Company to maintain minimum levels of solvency and liquidity and to comply with risk-based capital requirements and licensing rules, including its minimum solvency margin ("MSM"), defined as the prescribed minimum amount by which the value of the assets of the Company must exceed the value of its liabilities. As at December 31, 2024, the Company's solvency, liquidity and risk-based capital levels were in excess of the minimum levels required.

The Insurance Act also provides that the Company shall not in any financial year pay dividends which would exceed 25% of its total statutory capital and surplus, as shown on its statutory balance sheet in relation to the previous financial year, unless at least 7 days before payment of those dividends it files with the Bermuda Monetary Authority ("BMA") an affidavit signed by at least two directors, and by the Company's principal representative in Bermuda, which states that in the opinion of those signing, declaration of those dividends has not caused the insurer to fail to meet its relevant margins. Further, the Company must obtain the BMA's prior approval before reducing its total statutory capital as shown in its previous financial year statutory balance sheet by 15% or more. The Company may declare dividends subject to it continuing to meet these minimum levels of solvency, liquidity, and its risk-based capital requirement, which is to hold statutory capital and surplus equal to or exceeding the Target Capital Level (equivalent to 120% of the Enhanced Capital Requirement (ECR)). The ECR is calculated using the Bermuda Solvency Capital Requirement model which is a risk-based capital model. During 2025, the maximum dividend that the Company can pay without prior regulatory approval is approximately $1,371 million.

The Company is required to file annual statements with the BMA on an accounting basis as prescribed by the BMA. The typical adjustments to insurance statutory basis amounts to convert to U.S. GAAP include recognition of goodwill, intangible assets and deferred income taxes, and presentation of ceded reinsurance balances gross of assumed balances. The statutory financial return and capital and solvency return of the Company as at, and for the year ended, December 31, 2024 are due to be submitted to the BMA by April 30, 2025. The statutory financial return and capital and solvency return are subject to the BMA review.

The required and actual statutory capital and surplus of the Company at December 31, 2024 and 2023 was as follows (in millions of U.S. dollars):

	2024	2023
Required statutory capital and surplus [1]	**$ 3,223**	$ 2,813
Actual statutory capital and surplus	**$ 7,650**	$ 7,098

[1] The required statutory capital and surplus is calculated at the Target Capital Level equivalent to 120% of the ECR.

In addition to the required statutory capital and surplus requirements in the table above, the Company assesses its own solvency capital needs taking into account factors which may not be fully reflected in statutory requirements. The Company's solvency capital requirements determined under these self assessments may impact the level of dividends paid to its Parent.

14. Taxation

The Company and its Bermuda domiciled subsidiaries are not subject to Bermuda income or profit tax, withholding tax, capital gains tax or capital transfer tax in Bermuda for the years ended December 31, 2024 and 2023, under current Bermuda law. However, on December 27, 2023, Bermuda enacted the Corporate Income Tax Act 2023 (the "CIT Act"). Entities subject to tax under the CIT Act are the Bermuda constituent entities of multi-national groups. A multi-national group is defined under the CIT Act as a group with entities in more than one jurisdiction with consolidated revenues of at least €750 million for two of the four previous fiscal years. If Bermuda constituent entities of a multi-national group are subject to tax under the CIT Act, such tax is charged at a rate of 15 percent of the net income of such constituent entities (as determined in accordance with the CIT Act, after adjusting for any relevant foreign tax credits applicable to the Bermuda constituent entities). No tax is chargeable under the CIT Act until tax years starting on or after January 1, 2025. The CIT Act also includes a provision referred to as the economic transition adjustment, which is intended to provide a fair and equitable transition into the tax regime, and results in a deferred tax benefit for the Company. Pursuant to this legislation, as at December 31, 2023, the Company estimated a $487 million deferred tax asset in relation to the economic transition adjustment and a $55 million deferred tax liability in relation to the future tax impact of temporary differences between book and tax value. As at December 31, 2024, the deferred tax liability increased to $65 million. Most of the $422 million net deferred tax asset is expected to be utilized predominantly over a 10-year period.

The Company has subsidiaries that operate in various other jurisdictions around the world that are subject to tax in the jurisdictions in which they operate. The significant jurisdiction in which the Company's subsidiaries and branches are subject to tax is the United Kingdom.

Income tax returns are open for examination for the tax years 2020 to 2024. As part of a global organization, the Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. While management believes that adequate provision has been made in the Consolidated Financial Statements for any potential assessments that may result from tax examinations for all open tax years, the completion of tax examinations for open years may result in changes to the amounts recognized in the Consolidated Financial Statements.

Income tax (expense) benefit for the years ended December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	2024	2023
Current income tax expense	**$ —**	$ (110)
Deferred income tax (expense) benefit	**(10,264)**	435,281
Total income tax (expense) benefit	**$ (10,264)**	$ 435,171

The reconciliation of the actual income tax rate for the years ended December 31, 2024 and 2023 to the amount computed by applying the effective tax rate of 0% under Bermuda law to net income before taxes was as follows (in thousands of U.S. dollars):

	2024	2023
Net income attributable to Partner Reinsurance Company Ltd.	**1,394,336**	1,619,788
Income tax expense (benefit)	**10,264**	(435,171)
Net income before taxes	**1,404,600**	1,184,617
Reconciliation of effective tax rate (% of income before taxes)		
Expected tax rate	**0.0 %**	0.0 %
Foreign taxes at local expected tax rates	**—**	0.4
Tax legislation change	**—**	(36.7)
Valuation allowance	**—**	(0.3)
Other	**0.7**	(0.1)
Actual tax rate	**0.7 %**	(36.7)%

Following the enactment in 2023 of the CIT Act, a net $432 million deferred tax asset was recorded in 2023 as described in further detail above. This had a 36.7 point reduction on the effective tax rate in 2023 and is included within the Tax legislation change line in the table above. During 2024 this net deferred tax asset decreased to $422 million.

The net tax assets and their components at December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

	December 31, 2024	December 31, 2023
Net current tax assets	**$ —**	$ —
Net deferred tax assets	**421,901**	432,037
Net tax assets	**$ 421,901**	$ 432,037

Deferred tax assets reflect the tax impact of temporary differences between the carrying amounts of assets and liabilities for financial reporting and income tax purposes. Significant components of the net deferred tax assets and liabilities at December 31, 2024 and 2023 were as follows (in thousands of U.S. dollars):

	December 31, 2024	December 31, 2023
Deferred tax assets		
Bermuda economic transition adjustment	**$ 487,265**	$ 487,265
Foreign tax credit carryforward	**11,925**	4,110
Other deferred tax assets	**—**	37
Deferred tax assets	**$ 499,190**	$ 491,412
Valuation allowance	**(11,925)**	(894)
Deferred tax assets, net of valuation allowance	**$ 487,265**	$ 490,518
Deferred tax liabilities		
Unrealized depreciation and timing differences on investments	**$ (31,855)**	$ (26,002)
Adjustments to non-life and life and health reserves	**(23,687)**	(29,226)
Intangible assets	**(9,721)**	—
Deferred acquisition costs	**(101)**	—
Lloyds 3 year deferred taxation	**—**	(3,253)
Deferred tax liabilities	**$ (65,364)**	$ (58,481)
Net deferred tax assets	**$ 421,901**	$ 432,037

Realization of deferred tax assets is dependent on generating sufficient taxable income in future periods. Although realization is not assured, management believes that it is more likely than not that the deferred tax assets will be realized.

The total amount of unrecognized tax benefits for the years ended December 31, 2024 and 2023 was $nil.

15. Retirement Benefit Arrangements

For employee retirement benefits, the Company maintains certain defined contribution plans. Contributions are made by the Company, and these contributions are supplemented by the local plan participants. Contributions are based on a percentage of the participant's base salary depending upon competitive local market practice and vesting provisions meeting legal compliance standards and market trends. The Bermuda accumulated benefits generally vest over a one-year period. As required by law, certain retirement plans also provide for death and disability benefits and lump sum indemnities to employees upon retirement.

The Company incurred expenses for these defined contribution arrangements of $0.8 million and $0.6 million for the years ended December 31, 2024 and 2023 within Other expenses in the Consolidated Statements of Operations.

16. Commitments and Contingencies

(a) Concentration of Credit Risk

Fixed maturities

The Company's investment portfolio is managed following prudent standards of diversification and a prudent investment philosophy. The Company is not exposed to any significant credit concentration risk on its investments, except for debt securities issued by the U.S. government and government sponsored enterprises and other highly rated non-U.S. sovereign governments' securities. At December 31, 2024 and 2023, other than the U.S. governments and U.S. government sponsored enterprises, the Company's fixed maturity investment portfolio did not contain exposure to any non-U.S. sovereign government or any other issuer that accounted for more than 10% of the Company's shareholder's equity. The Company keeps cash and cash equivalents in several banks and ensures that there are no significant concentrations of credit risk in any one bank.

Derivatives

The Company's investment strategy allows for the use of derivative instruments, subject to strict limitations. Derivative instruments may be used to replicate investment positions and for the purpose of managing overall currency risk, market exposures and portfolio duration, for hedging certain investments, or for enhancing investment performance that would be allowed under the Company's investment policy if implemented in other ways. The Company is exposed to credit risk in the event of non-performance by the counterparties to the Company's derivative contracts. However, the Company diversifies the counterparties to its derivative contracts to reduce credit risk, and because the counterparties to these contracts are high credit quality international banks, the Company does not anticipate non-performance. These contracts are generally of short duration and settle on a net basis. The difference between the contract amounts and the related market value represents the Company's maximum credit exposure.

Underwriting operations

The Company is also exposed to credit risk in its underwriting operations, most notably in the financial risks lines. Loss experience in these lines of business is cyclical and is affected by the state of the general economic environment. The Company provides its clients in these lines of business with reinsurance protection against credit deterioration, defaults or other types of financial non-performance of or by the underlying credits that are the subject of the reinsurance provided and, accordingly, the Company is exposed to the credit risk of those credits. The Company mitigates the risks associated with these credit-sensitive lines of business through the use of risk management techniques such as risk diversification, careful monitoring of risk aggregations and accumulations and, at times, through the use of retrocessional reinsurance protection and the purchase of credit default, total return and interest rate swaps.

The Company has exposure to credit risk as it relates to its business written through brokers, if any of the Company's brokers is unable to fulfill their contractual obligations with respect to payments to the Company. In addition, in some jurisdictions, if the broker fails to make payments to the insured under the Company's policy, the Company might remain liable to the insured for the deficiency. The Company's exposure to such credit risk is somewhat mitigated in certain jurisdictions by contractual terms.

The Company has exposure to credit risk related to reinsurance balances receivable, reinsurance recoverable on paid and unpaid losses, funds held by reinsured companies and deposit assets. The credit risk exposure related to these balances is mitigated by several factors, including but not limited to, credit checks performed as part of the underwriting process, monitoring of aged receivable balances and, in certain cases, the contractual right to offset amounts payable by the Company to the counterparty against amounts due to the Company from the counterparty. The majority of the reinsurance balances receivable and funds held balances are from related parties (see Note 18).

In assessing future default for reinsurance balances receivable, the Company evaluates the valuation allowance under the loss rate method and utilizes historic loss activity, adjusted for its assessment of current market conditions and reasonable and supportable forecasts on loss rates. As at December 31, 2024 and 2023, the Company's allowance for credit losses for its reinsurance balances receivable was $4.7 million and $4.9 million, respectively. In assessing an allowance for funds held by reinsured companies and deposit assets, the Company considers historical information and the financial strength and credit ratings of counterparties to determine the appropriateness of the allowance. In assessing future default for these balances, the Company evaluates the valuation allowance under the probability of default and loss given default method and utilizes counterparty credit ratings from major rating agencies, as well as assessing the current market conditions and reasonable and supportable forecasts for the likelihood of default. As at December 31, 2024 and 2023, the Company's allowance for credit losses was $0.1 million and $0.1 million for funds held by reinsurance companies, respectively, and nil and $1.0 million for deposit assets, respectively. See Note 11 for discussion of credit risk related to reinsurance recoverable on paid and unpaid losses.

(b) Other Agreements

The Company has entered into strategic investments with unfunded capital commitments. In the next five years, the Company expects to fund capital commitments totaling $147.8 million, with $87.8 million, $37.1 million, $9.1 million, $7.0 million and $6.8 million to be paid during 2025, 2026, 2027, 2028 and 2029, respectively.

Effective December 31, 2013, the Company entered into an agreement with one of its affiliates, PartnerRe America Insurance Company, whereby the Company guarantees to PartnerRe America Insurance Company all present and future obligations of each third party reinsurer when such reinsurer is unable to meet any or all its obligations pursuant to the terms of the applicable reinsurance agreement. At December 31, 2024, there were no reinsurers in default.

On June 2, 2017, the Company entered into an agreement to guarantee and indemnify any and all of the obligations of PartnerRe Life Reinsurance Company of America and PartnerRe Canada under reinsurance agreements with third party cedants, in the event of non-payment or non-performance. There were no amounts due under this guarantee at December 31, 2024.

On July 3, 2023, the Company entered into an agreement to guarantee and indemnify any and all of the obligations of Partner Reinsurance Europe SE, Zurich Branch under two reinsurance agreements with third party cedants, in the event of non-payment or non-performance. There were no amounts due under this guarantee at December 31, 2024.

In exchange for a fee, the Company has committed to provide statutory reserve support to a third party by funding loans if certain events occur. At December 31, 2024, the Company does not believe that it will be required to provide any funding under this commitment, as the occurrence of the defined events is considered remote.

(c) Legal Proceedings

Litigation

The Company, and the insurance and reinsurance industry in general, are subject to litigation and arbitration in the normal course of their business operations. In addition to claims litigation and disputes, the Company and its subsidiaries may be subject to lawsuits and regulatory actions in the normal course of business that do not arise from or directly relate to claims on reinsurance contracts. While the outcome of any such litigation cannot be predicted with certainty, the Company will dispute all allegations against the Company and/or its subsidiaries that management believes are without merit.

At December 31, 2024, the Company was not a party to any litigation or arbitration that it believes could have a material effect on the financial condition, results of operations or liquidity of the Company.

17. Credit Agreements

In the normal course of its operations, the Company enters into agreements with financial institutions to obtain unsecured and secured credit facilities. At December 31, 2024, the total amount of such credit facilities available to the Company related to a secured credit facility of $200 million that matures on December 21, 2025, and automatically extends for a further year unless canceled by either counterparty. The committed secured credit facility maintained by the Company is used for the issuance of letters of credit which must be fully secured with either cash, government bonds and/or investment-grade bonds.

Under the terms of certain reinsurance agreements, irrevocable letters of credit were issued by the Company on a secured basis in the amount of $119 million at December 31, 2024, in respect of losses and unearned premium reserves.

The agreement includes default covenants, which could result in the Company not being allowed to issue any new letters of credit. At December 31, 2024, no conditions of default existed.

18. Agreements with Related Parties

(a) Reinsurance Agreements

In the normal course of its underwriting activities, the Company has entered into reinsurance agreements with companies affiliated with the Company.

As at December 31, 2024 and 2023, the Company had the following quota-share reinsurance agreements with subsidiaries of the Parent:

- a quota-share agreement to assume existing and new non-life and life and health risk transfer business from PartnerRe Europe, including certain of its branches. PartnerRe Europe is a limited liability company incorporated and domiciled in Ireland, and regulated by the Central Bank of Ireland.
    - Non-Life business increased from 50% for treaties incepting 2016 and prior to 65% for years 2017 onward, except for natural catastrophe business, which is at a 90% quota-share.
    - Prior to amendments made to the quota-share agreement effective July 1, 2021, Life and Health business was reinsured at 50% for inception years 2016 and prior and 65% for years 2017 onward (excluding certain longevity business written after 2020 which is at a 90% cession and life business written in PartnerRe Europe's Hong Kong branch). Effective July 1, 2021, the quota-share on longevity business written by

PartnerRe Europe's head office was increased to 90%. Additionally, effective July 1, 2021, the cession was increased by 10% for all Life and Health business written by PartnerRe Europe's French and Swiss branches, including business in-force at the effective date of the amendment, resulting in a 60% cession for inception years 2016 and prior and a 75% cession for years 2017 onward.

- quota-share agreements to assume certain non-risk transfer life business from PartnerRe Europe's Swiss branch ranging from 95% to 100%.
- a 50% quota-share agreement to assume existing and new business from PartnerRe Asia. During 2020, the quota-share on certain critical illness business was increased to 85%. PartnerRe Asia is licensed by the Monetary Authority of Singapore (MAS) to operate as a non-life and life reinsurer in Singapore and is the principal reinsurance carrier for the Parent's business underwritten in the Asia Pacific region.
- a 90% quota-share agreement to assume existing and new business from PartnerRe Canada. PartnerRe Canada is licensed to reinsure life, accident and sickness business under the Insurance Companies Act (Canada).

The Company also provides quota-share reinsurance to Partner Reinsurance Company of the U.S. (excluding its Canada Branch) for certain underwriting years prior to 2018. The agreements provided that the Company would accept a 45% participation for underwriting year 2017, 30% participation for underwriting years 2013 to 2016, and 25% participation for certain underwriting years prior to 2012.

In addition, the Company has stop loss agreements with PartnerRe Asia, Partner Reinsurance Company of the U.S., Partner Reinsurance Company of the U.S. Canada Branch and PartnerRe Ireland Insurance dac.

The activity included in the Consolidated Statements of Operations related to subsidiaries of the Parent for the years ended December 31, 2024 and 2023 was as follows (in thousands of U.S. dollars):

	2024	2023
Gross premiums written	**$ 3,365,068**	$ 3,215,167
Net premiums written	**$ 3,365,068**	$ 3,215,167
Net premiums earned	**$ 3,374,182**	$ 3,187,063
Net investment income on funds held	**$ 34,130**	$ 32,282
Losses and loss expenses	**$ 2,506,756**	$ 2,270,570
Market risk benefit gains	**$ (3,709)**	$ (4,876)
Acquisition costs	**$ 713,234**	$ 683,958

Included in the Consolidated Balance Sheets at December 31, 2024 and 2023 were the following balances related to subsidiaries of the Parent (in thousands of U.S. dollars):

	2024	2023
Reinsurance balances receivable	**$ 1,495,291**	$ 1,422,142
Funds held by reinsured companies	**$ 763,774**	$ 781,153
Deferred acquisition costs	**$ 432,695**	$ 423,767
Market risk benefit assets, at fair value	**$ 85,547**	$ 87,395
Non-life reserves	**$ 3,888,927**	$ 3,743,938
Life and health reserves	**$ 1,743,784**	$ 1,616,530
Market risk benefit liabilities, at fair value	**$ 594**	$ 3,037
Unearned premiums	**$ 889,414**	$ 919,981
Other reinsurance balances payable	**$ 106,744**	$ 109,872

Refer to Note 11 for details regarding the Company's business ceded to Lorenz Re.

(b) Amounts due to/from Related Parties and Loan Agreements

On November 19, 2020, the Company entered into an agreement with its Parent to sell the shares of its 100% interest in PartnerRe Capital Investments Corporation (PCIC) in exchange for a 10-year promissory note bearing interest at an annual rate of 4.4%. The carrying value of the investment at the time of sale, which approximated market value, was $458.5 million. At the time of sale, the carrying value of PCIC primarily consisted of investments in fixed maturities, cash and cash equivalents, other invested assets, and equities in the amounts of $327.6 million, $59.4 million, $52.0 million, and $26.3

million, respectively. The transaction was recognized as a sale of ownership interest between entities under common control at carrying amounts with no gain or loss recognized. At December 31, 2023, the carrying value of the note receivable was $458.5 million, with accrued interest of $42.1 million. Interest income of $20.2 million was recorded for the year ended December 31, 2023. On December 6, 2024, the Company declared a dividend of $400 million to the Parent, a portion of the proceeds of which were used as partial repayment of the promissory note balance and settlement of accrued interest. At December 31, 2024, the carrying value of the note receivable was $323.5 million and accrued interest was $1.0 million. Interest income was $19.8 million for the year ended December 31, 2024.

On December 28, 2022, the Company entered into an Inter-Company Revolving Loan Agreement with its Parent. The Company, extended to the Parent $744 million as at September 30, 2022 through a series of unsecured inter-company revolving loans (Existing Loans). The Company has agreed to provide it's Parent with Additional Loans, which together with Existing Loans, results in an unsecured inter-company revolving loan facility of up to $1.1 billion. The Revolving Loan matures at the earliest of: (a) the date upon which the Company declares the outstanding loan and all interest accrued thereon due and payable after the occurrence of an event of default; and (b) December 31, 2032. Interest is payable on the outstanding amount of the Loan on the maturity date. Interest is calculated at 3-month SOFR plus 160 bps. Interest accrues quarterly on the outstanding amount of the loan and calculated on the basis of the actual number of days elapsed and a 365 year. On December 5, 2023, the Company declared a dividend of $375 million to the Parent, the proceeds of which together with additional funding provided by the Parent were used as partial repayment of the loan balance. As a result, at December 31, 2023, the carrying value of the Revolving Loan receivable was $287.0 million. Interest income of $52.0 million was recorded for the year ended December 31, 2023, with the same amount recorded as accrued interest at December 31, 2023. On December 6, 2024, the Company declared a dividend of $400 million to the Parent, a portion of the proceeds of which were used as full repayment of the loan balance and settlement of accrued interest. At December 31, 2024, no balances remain outstanding related to the Revolving Loan. Interest income was $19.8 million for the year ended December 31, 2024.

On April 29, 2024, the Company entered into an Inter-Company Revolving Loan Agreement with PartnerRe U.S. Corporation (PREUS) to provide an unsecured inter-company revolving loan facility of up to $75 million via one or a series of intercompany loans. The Revolving Loan matures at the earliest of: (a) the date upon which the Company declares the outstanding loan and all interest accrued thereon due and payable after the occurrence of an Event of Default; and (b) one year from the lending date of any intercompany loan contemplated herein. Interest is payable on the outstanding amount of the loan on the maturity date. Interest is calculated at 3-month SOFR plus 27 bps. Interest accrues quarterly on the outstanding amount of the loan and is calculated on the basis of the actual number of days elapsed and a 365 year. At December 31, 2024, the carrying value of the Revolving Loan receivable was $50.0 million with accrued interest of $1.8 million. Interest income for this loan was $1.8 million for the year ended December 31, 2024.

As at December 31, 2024 and 2023, the Company had $133.9 million and $107.3 million other advances to affiliates primarily related to amounts advanced to or paid on behalf of its Parent, respectively.

The Company had other liabilities to affiliates totaling $45.0 and $79.4 million at December 31, 2024 and 2023, respectively. These represent expenses incurred in the normal course of operations.

(c) Service Agreements

In the normal course of its operations, the Company entered into service agreements with other subsidiaries of the Parent. Revenues earned under the service agreements for each of the years ended December 31, 2024 and 2023 were $1.0 million and $0.8 million, respectively. Expenses incurred under the service agreements for the years ended December 31, 2024 and 2023 were $10.9 million and $9.4 million, respectively.

(d) Transactions with Covéa

Covéa Coopérations is part of the Covéa Group, which meets the definition of a related party. In this context, the Covéa Group covers Covéa (the parent company of the Covéa Group, whose legal form is "SGAM" i.e. a mutual insurance group company), its affiliated mutual companies, Covéa Coopérations, and their subsidiaries and affiliates included in their consolidated financial statements.

During 2023, a deemed dividend of $13.2 million was paid to Covéa Coopérations related to the Company acquiring renewal rights associated with an identified set of reinsurance treaties written by Covéa Coopérations.

In the normal course of its underwriting activities, the Company entered into assumed reinsurance agreements with certain affiliates of Covéa Group.

Included in the Consolidated Statements of Operations for the year ended December 31, 2024 and 2023 were the following transactions related to the Covéa Group (in thousands of U.S. dollars):

	2024	2023
Gross premiums written	**$ 172**	$ 2,772
Losses and loss expenses and life policy benefits	**$ 21,361**	$ 10,371

Included in the Consolidated Balance Sheets at December 31, 2024 and 2023 were the following balances related to the Covéa Group (in thousands of U.S. dollars):

	2024	2023
Reinsurance balances receivable	**$ 31**	$ 909
Non-life reserves	**$ 56,325**	$ 65,018

Upon close of the acquisition of the Parent by Covéa Coopérations in 2022, the Covéa Group sold its interest in the Company's third-party capital vehicles.

19. Subsequent Events

The Company has exposure to the January 2025 California wildfires and expects its loss to be in line with its usual market share.

On April 9, 2025, the Company's Board of Directors declared a dividend of $50 million.

On April 24, 2025, the Company's Board of Directors approved the amended and restated Revolving Loan Agreement with PartnerRe U.S. Corporation (PREUS) to provide an unsecured inter-company revolving loan facility of up to $250 million on an uncommitted basis. The Revolving Loan matures on the earliest of: (a) the date upon which the Lender declares the outstanding Loans and all interest accrued thereon due and payable after the occurrence of an Event of Default; and (b) April 29, 2030. Interest is calculated at 6-month SOFR plus 133 bps.

The Company has evaluated subsequent events from the balance sheet date through to April 28, 2025, which is the date the consolidated financial statements were available to be issued. Other than the items described above, there were no other material subsequent events arising during this period.